

**WHEN
TRADITION**



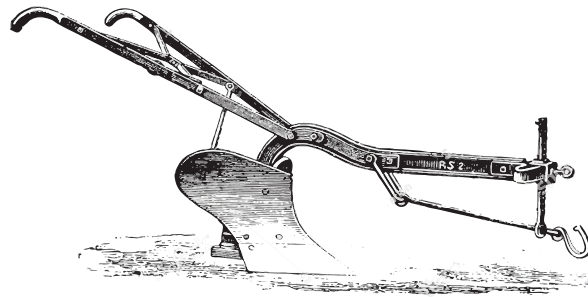
**MEETS
TECHNOLOGY**



AgStar

annual report 2019/2020

**WHEN
TRADITION**



**MEETS
TECHNOLOGY**

The past decade has seen unprecedented social, economic and administrative transformation throughout our nation, driving a renewal of strength and expanding capabilities in every sector of trade and industry. Now, as Sri Lanka steps onto the global stage, AgStar PLC is proud to be a part of a nation's journey into a future of unlimited possibilities.

Since inception, AgStar PLC has maintained remarkable agility, adapting and diversifying our business offering to stay relevant to contemporary market demands, both in Sri Lanka and overseas.

Today our portfolio is a truly distinctive one, fusing the strengths of local knowledge and tradition with state of the art technology and science to deliver a range of products and services that remain unmatched in quality, sustainability and value.

CONTENTS

Overview

- 04** Financial Highlights
- 06** Chairman's Message
- 09** Managing Director's Review
- 12** Board of Directors
- 14** Board of Directors Profiles
- 16** Leadership Team
- 18** Management Discussion and Analysis
- 23** Financial Review
- 24** Sustainability Report

Stewardship

- 27** Corporate Governance
- 34** Report on Risk Management
- 36** Statement of Directors' Responsibility
- 37** Remuneration Committee Report
- 38** Related Party Transactions Review
Committee Report

Financial Information

- 40** Financial Calendar
- 42** Directors' Report on the State of Affairs of the
Company
- 49** Audit Committee Report
- 50** Independent Auditor's Report
- 54** Statement of Profit or Loss and other
Comprehensive Income
- 55** Statement of Financial Position
- 56** Statement of Changes In Equity
- 57** Consolidated Statement of Changes In Equity
- 58** Statement of Cash Flows
- 59** Notes to the Financial Statements
- 117** Decade at a Glance
- 118** Notice of the 18th Annual General Meeting
- 119** Form of Proxy

Vision

To be the preferred choice for agri inputs, agri products and related services

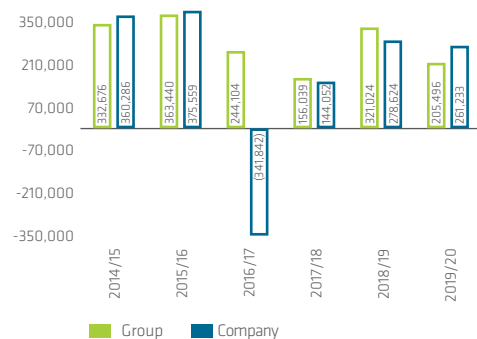
Mission

To foster growth and prosperity in agriculture by providing superior quality products and services

FINANCIAL HIGHLIGHTS

Year ended 31st March		2020	2019	Change
OPERATING RESULTS				
Group Revenue (Continuing Operations)	(Rs'000)	1,734,841	2,478,165	-30%
Gross Profit (Continuing Operations)	(Rs'000)	723,261	692,076	5%
Net Finance Income/(Costs) (Continuing Operations)	(Rs'000)	(54,589)	6,307	-965%
Profit Before Tax (Continuing Operations)	(Rs'000)	205,496	321,024	-36%
Profit for the Year (Continuing Operations)	(Rs'000)	141,519	245,218	-42%
Profit for the Year (Continuing & Discontinued Operations)	(Rs'000)	137,989	226,369	-39%
FINANCIAL POSITION				
Stated Capital	(Rs'000)	1,204,094	1,204,094	0%
Non Controlling Interests	(Rs'000)	-	-	0%
Property, Plant & Equipment (Continuing Operations)	(Rs'000)	1,650,869	1,527,367	8%
Current Assets	(Rs'000)	4,178,891	3,765,141	11%
Total Assets	(Rs'000)	5,909,354	5,349,134	10%
Non Current Liabilities	(Rs'000)	379,366	286,998	32%
Current Liabilities	(Rs'000)	2,505,330	2,176,187	15%
Total Equity	(Rs'000)	3,024,658	2,885,949	5%
FINANCIAL INDICATORS				
Earnings /(Deficit) Per Share	(Rs)	0.42	0.70	-39%
Dividend Per Share paid during the year	(Rs)	0.20	0.10	100%
Dividend Per Share proposed	(Rs)	-	0.20	-100%
Dividend payout proposed	(%)	-	28.71	-100%
Net Assets Per Share	(Rs)	9.31	8.88	5%
Return on Equity	(%)	4.56	7.84	-42%
Return on Total Assets	(%)	2.34	4.23	-45%
Gross Profit Ratio	(%)	41.69	27.93	49%
Net Profit Ratio (Continuing Operations)	(%)	8.16	9.90	-18%
Current Ratio	(Times)	1.67	1.73	-3.6%
Liquidity Ratio	(Times)	1.52	1.49	2%

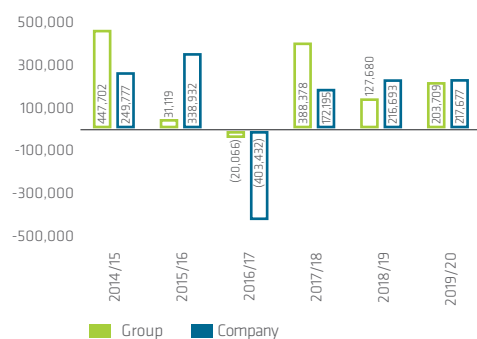
Profit Before Tax (Continuing Operations) (Rs. '000)



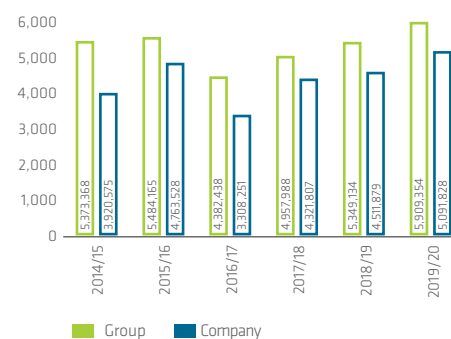
Net assets (Rs. '000)



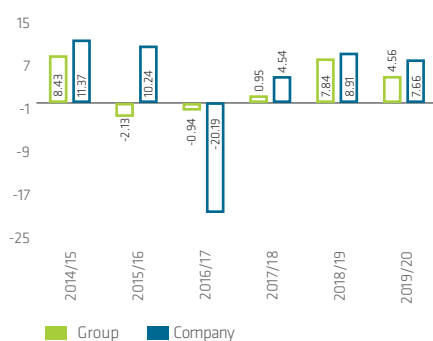
Total Comprehensive Income (Rs. '000)



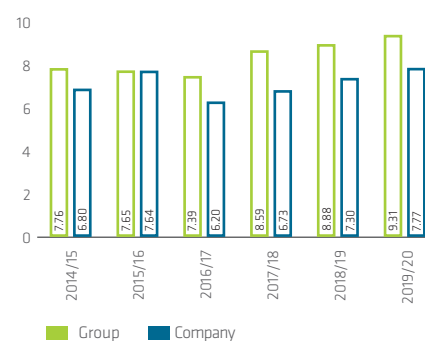
Total assets (Rs. '000)



Return on equity (%)



Net assets per share (Rs.)



CHAIRMAN'S MESSAGE



“ We have chartered a forward-looking path that envisages greater technology infusion, coupled with knowledge sharing to improve yield and enhance the lives of our farming community. ”

On the occasion of this Eighteenth Annual General Meeting of AgStar PLC, it gives me great pride to place before you the Annual Report and Audited Financial Statements for the year ended 31st March 2020. The Group was able to sustain its robust performance from the preceding year into the year under review.

Guided by the belief that diversification into viable new areas will generate enhanced economic value to our shareholders, we ventured into marketing of Agri technology to boost employment in Agriculture productivity and enrich the sector into the future. Our steady progress to infuse technology in our agricultural pursuits is reflected in the theme for this year's Annual Report, 'When Tradition Meets Technology'.

Financial Performance

The highlight of the AgStar Group's impressive financial performance in 2019/2020 is evidenced in the Profit after Tax of Rs. 138 million. The Group recorded strong sales volumes from Seeds, Crop care, Agro specialty products and the new Agri tech segments. The main reasons that contributed to this overall performance were better management control over business units, improving distribution networks, strong sales push and energizing the 'AgStar' brand.

The Fertilizer business, which was once again subject to quota allocation during the year under review, further reduced by 10%, which resulted in a drop in revenue. Despite the reduction in quota, the fertilizer business managed to record a profit after tax of Rs. 193.3 million compared to the previous year's figure of Rs. 211.2 million.

However, the cash flow management of the company has been affected by weak economic conditions since Covid-19.



Further, it impacted badly on our expectations of being awarded our long overdue government subsidy payment of Rs. 2.1 billion. We, therefore, expect the understanding of our shareholders to give due consideration to our inability to declare a dividend for the year 2019/20.

Operating Conditions in 2019

Sri Lanka's agriculture sector remained vulnerable to extreme weather conditions in the period under review, marking a modest growth of 0.6% in 2019, compared to the growth of 6.5% in 2018. Despite a slew of macroeconomic stabilization measures adopted by the regulator in 2019, weak economic growth prevailed throughout the year. In addition, the Easter Sunday attacks had a domino effect on all sectors of the economy, further dampening business confidence.

Nevertheless food remains the focus of our nation, and therefore our agriculture has to adopt a new approach to improve yields with the infusion of technology backed inputs,

and we at AgStar are ready to help boost this sector that still remains the backbone of our country and provides employment to thousands both directly and indirectly.

18 years of existence

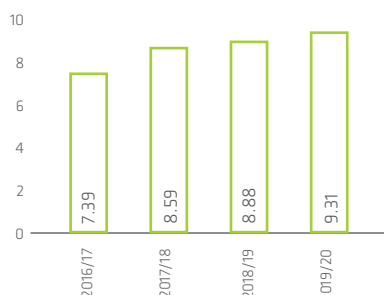
550 Distributors

161 Employees

Future Strategic Outlook

Agstar PLC's Group performance is notable considering the highly regulated sector in which it operates. Apart from a constricting quota regime in the fertilizer segment, ad hoc policy changes and excessive subsidies are all factors that leave little room to navigate through our business plan. Nevertheless, the Group has chartered a forward looking path that envisages greater technology infusion, coupled with knowledge sharing to improve yield and enhance the lives of our farming community.

Net asset per share (Rs.)



It gives me immense pride that during the year under review we began investing in the agri tech sector, namely, tractors and harvesters, to further empower our farmers.

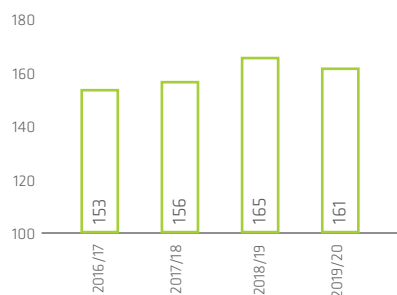
We have also adopted a leaner business model over the past few years that has impacted our business positively.

Economic and Social Governance

Your Board remains committed to enhancing social and economic governance standards of the company. At AgStar, we keep pushing the boundaries in greener products, encouraging farmers to adopt more sustainable agri inputs with a view to phase out traditional methods over time.

The importance of the agri sector was amplified by the national response to the COVID-19 pandemic as a key sector that needs better support to ensure food security in times of such a crisis. Overall, we do not expect the pandemic to adversely impact the agricultural sector, although prospects for other sectors of the economy appear bleak for the remainder of the year.

Staff Strength (Nos)



Acknowledgments

I would like to thank my colleagues on the Board for their support throughout the year, whilst commending the Managing Director for showing exceptional resolve to implement our vision for the Group. The management team and support staff have worked very hard through the year to deliver our business plan, and to them I owe my gratitude. Finally, I would like to thank our wider stakeholders - our customers, suppliers, bankers and business partners - for placing their faith in us to create a new paradigm for the agricultural sector in Sri Lanka.

N. G. R. Karunaratne
Chairman

Profit Before Tax
RS. MN 205

Total Assets
RS. BN 5.9

MANAGING DIRECTOR'S REVIEW



“ We will continue to invest in profitable future growth as a way of strengthening our overall operational efficiency and supporting the farming community in Sri Lanka. ”

Operating in one of the most highly regulated sectors in the country, AgStar PLC was able to navigate the financial year with agility, financial prudence and astute planning. Pursuant to several years of high pressure external risks and challenges, the company was finally able to reap the benefits of its targeted investments in strategic areas to deliver a record financial performance and operational excellence during the period under consideration.

Financial Performance

Although the Group turnover dropped by Rs. 743 million in 2019/20 due to a further increase in the government subsidy, we ended the year by recording a Profit After Tax of Rs. 138 million as against Rs. 226 million posted in previous year. The Group net profit dropped as a result of interest cost increases due to delay in subsidy payments coupled with the amount Rs. 81 million written off as demolition expense of the Ekala building.

Fertilizers

Subjected to ad hoc policy changes without adequate notice and tight regulation, business turnover dropped from Rs. 2,097 million to Rs. 1,267 million due to imposition of quota in the sector by the government, coupled with an increase in subsidies during the year. As a result, sale price of fertilizers declined substantially from Rs. 30,000 per metric ton to Rs. 20,000 per metric ton due to additional subsidies. Quota allocation was further restricted during the year by the government.

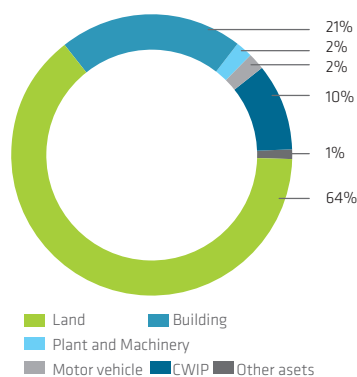
The company's Gross Margin increased from Rs. 519 million in 2018/19 to Rs. 542 million in the year under review. However, Profit After Tax dropped from Rs. 211 million in the previous year to Rs. 193 million in 2019/20. Sales volumes also witnessed a decline by as much as 21% due to quota reduction.

Nevertheless, sales improved by 17% in the tea sector and by 9% in the coconut sector.

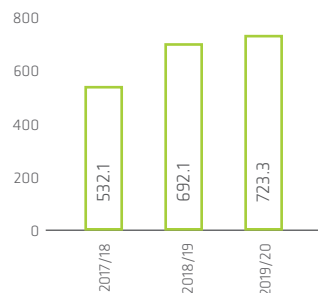
Responding with speed to evolving regulations, the fertilizer business was restructured during the year which resulted in a reduction of Rs. 28 million in overheads. The biggest challenge faced by the company during the year under review was quota restriction and delays in payment of subsidy. The company is still waiting on a subsidy payment of Rs. 2 billion from the government. This has led to accumulation of Rs. 94 million as interest cost to the company.

Fertilizer is a critical link in the nation's agricultural production chain and the company is hopeful the government will support the sector through timely payments and by easing regulations in a manner that boosts growth prospects for companies, which in turn will spur innovations and investment in advanced technology-backed products. Presently, it is nearly impossible to plan for the future due to the highly regulated nature of the industry. The company remains optimistic that the regulator will set out a fair pricing mechanism to benefit the industry going ahead.

Group Assets



Group Gross Profit (in Mn.)



Cropcare

The pinpointed strategy to accelerate sales and marketing activities in a targeted manner for the cropcare product range was successful, as sales increased by as much as 42% while Gross Profit recorded a 51% increase. Meanwhile, Profit After Tax grew by as much 115% in the year under review. New products included in the portfolio during the year further enhanced profitability.

Buoyed by the growth in this segment, the company remains focused on adding more products in the pipeline to sustain growth momentum. During the year under review, we pursued a strategy of focusing on the cropcare segment to grow bottom line and turnover to make up for weaker revenue in the fertilizer segment.

Mahaweli Agro Trading Private Ltd.

Although the brand has gained a foothold in the market as a trading hub, we were unable to expand operations further during the year under review due to non-availability of quota, which led to a drop in turnover by 56%. Nevertheless, we remain hopeful that we can revive operations in the near term by creating a portfolio which is not constrained by the vagaries of quota and subsidies.

Seeds

Prith Seeds

Prith Seeds is now well on its way to the forefront of the industry, improving its profitability significantly during the year under review by posting Profit After Tax by 114% and an increased turnover of 25%. New products were included into the portfolio during the year under review, the earnings from which will be reflected in future performance. The company is optimistic about delivering 25% growth in the next financial year. The claim filed by the company in the previous year against the copycat distributor is still pending in the courts.

AgStar Seeds

As a result of non-availability of maize seeds stocks in Indonesia, the company was unable to continue supplying maize seeds to the local market which resulted in a flat turnover during the year for this segment of the business. Maize seeds imports dropped by as much as 48% during this period. Responding with alacrity, the company aggressively pushed sales of other products to make up for the loss, ending up with an increase in Profit Before Tax by 14%. The company perseveres to add new and high quality products into its portfolio and believes some of the newest additions will find favourable demand in the months ahead.

Property

The future prospects for the under-construction 83,000 sqft warehouse and a 10,880 sqft office cum facility at the Ekala land is an exciting one for the group. In preparation, the old building was demolished during the period under review and Rs. 81 mn for the same was written off in the books. Construction is progressing and the project is slated to be ready in early 2021.

Exports

During the period under review, the turnover of the exports business declined by 25% due to excessive taxes on vegetable oils. As a result, Profit After Tax was eroded by 89%. Although this segment continues to provide sachets for the local hospitality sector, overall demand for the export product portfolio overseas was stagnant.

Agri Equipment

Committed to being an end-to-end supplier of agri inputs to the farmers of Sri Lanka, AgStar PLC established a new business arm, Agro Equipment, during the year under consideration. The Kartar brand tractor and harvester was rolled out in the local market mid-year, which is the best harvesting solution for crops. Consisting of a two and four wheel tractor and harvester, it is a market leader in India and ideal for Sri Lankan conditions. The company is positive about the prospects for sales.

Future Outlook

Going ahead, the company will continue its focus on expanding contribution of each segment in tune with emerging needs and regulations. As a group we will continually be on the lookout for internal and external opportunities for growth and diversification. Our experience during the time of the global pandemic in Sri Lanka and taking lessons from around the globe shows us that agriculture and related businesses will always be relevant for the food security of the nation and are sectors that can thrive if the right policies are in place. As a group we remain committed to promoting agri self-sufficiency for the nation and will provide the utmost support to farmers and to enhance their use of modern agro practices. Since we expect the fertilizer business to remain under pressure due to

ongoing government subsidies, we will focus on expanding seeds and cropcare segments to maintain our growth momentum. As for the Grains arm which is now closed, we are looking at any opportunities for establishing a joint venture or to rent out the mill.

The Group remains committed to enhancing production knowhow and to maintain a clear focus on sustainable and environmentally-friendly production. AgStar PLC will continue to invest in profitable future growth by way of strengthening overall operational efficiency. To enhance crop yield and improved profitability, farmers need more support in making the right decisions and AgStar PLC is ideally positioned to be the one-stop shop for farming community in Sri Lanka. Sri Lanka's agricultural sector lags far behind the region in automation of infusion of technology and AgStar PLC is gearing up to equip the nation's farmers with the necessary knowhow and tools to bring back past glory to the agri sector.

Appreciation

The success that AgStar PLC achieved as a company and group during the year is due to the enduring vision and guidance provided by the Chairman and Directors on the board. I would also like to place on record my appreciation of the hard work and diligence shown by the staff of the company through the year under review. The support from other stakeholders including suppliers, partners and shareholders has been pivotal for our growth and expansion.



Mr. A. P. Weerasekera
Managing Director

BOARD OF DIRECTORS

- | | | |
|---|---|---|
| 1 Mr. D. N. N. Lokuge
Deputy Chairman | 4 Mr. A. P. Weerasekera
Managing Director | 6 Mrs. S. N. Wickramasinghe
Independent and Non-Executive Director |
| 2 Mr. W. A. P. Perera
Non-Executive Director | 5 Mr. H. P. Janaka De Silva
Independent and
Non-Executive Director
(Ceased to be a director w.e.f. 28th June 2019) | 7 Mr. A. G. Weerasinghe
Independent and
Non-Executive Director
(Ceased to be a director w.e.f. 28th June 2019) |
| 3 Mr. N. G. R. Karunaratne
Chairman | | |



8 **Mr. D. S. K. Amarasekera**
Non-Executive Director

9 **Mr. R. K. A Ranaweera**
Independent and
Non-Executive Director

Absent

Dr. (Mrs.) A. D. Nandanie de Zoysa
Independent and Non-Executive Director

5

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BOARD OF DIRECTORS' PROFILES

1. MR. N. G. R. KARUNARATNE

Chairman

(Ceased to be a Chairman / Director w.e.f. 28.06.2020)

Mr. Rohan Karunaratne is a Fellow of the Institute of Chartered Accountants of Sri Lanka and is the founder Chairman/CEO of AgStar PLC. He has previously served on the Boards of Ceylon Tobacco Company, CIC Holdings PLC and CIC Agri Business. Mr Karunaratne has a wealth of experience counting over 40 years of managing agri business ventures.

As the founder CEO of CIC Agri Business, Mr. Karunaratne successfully spearheaded the setting up and development of new agricultural ventures in fertilizer, seed, planting material, biotechnology, agro consultancy and agri technology. He was also instrumental in developing public/private sector partnerships in the agricultural sector of Sri Lanka by transforming the management of large Government farms and converting ADB funded perennial crop development projects to viable business ventures. Mr. Karunaratne has provided the vision and leadership to introduce pioneering new technologies and products into the agricultural sector, and has contributed significantly to its development in Sri Lanka.

During his tenure at Ceylon Tobacco Company, Mr. Karunaratne functioned as the Head of Tobacco Business. He thereafter functioned as the Managing Director of CTC Services, with responsibility for the management of diversified businesses.

2. MR. A. P. WEERASEKERA

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants, United Kingdom and has over 25 years of industry experience having started his career in 1988. He has been a founder Director of AgStar PLC, initially functioning as Head of Finance and thereafter as the Chief Operating Officer. He has contributed significantly to the Company becoming a viable business entity.

Mr. Weerasekera previously was at CIC Agri Business having joined the company in 1993. He was the Finance Manager of CIC and gained a wide experience in the management of agro business related activities. Mr. Weerasekera is also the Managing Director of AgStar group subsidiaries and Director of Smart Travel International (Private) Ltd and Sapase (Private) Ltd.

3. MR. D. N. N. LOKUGE

Deputy Chairman

Mr. Nimal Lokuge is a founder Director of AgStar PLC and functions as the Deputy Chairman of the Company. He was also a founder Director of Sierra Construction (Private) Ltd with 30 years of experience in the construction industry. He is a Director of a number of Sierra Group Companies.

4. DR. (MRS.) A. D. NANDANIE DE ZOYSA

Independent Non-executive Director

Dr. (Mrs.) de Zoysa has been a member of the Board of AgStar PLC since 28 June 2019. She was the former Secretary to the Ministry of Plantation Industries from 2014 to 2015, the former Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the former Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013, the Director General of the Department of Development Finance of the Ministry of Finance and Planning & the Treasury from 2006 to 2010 and the Director General of the Department of Fiscal Policy of the Ministry of Finance and Planning & the Treasury from 2005 to 2006.

Dr. (Mrs.) de Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics from the Australian National University, Canberra, Australia, M.A. Degree in Economics from the Ohio State University, Columbus, Ohio, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, Columbus, Ohio USA.

Dr (Mrs.) de Zoysa currently serves as a Director to Central Finance PLC and also serves as a Consultant/ Advisor to CHEC Port City Colombo (Private) Ltd. She has served as a Director of DFCC Bank PLC, Lankaputhra Development Bank and Sri Lanka Savings Bank.

5. MR. W. A. P. PERERA

Non-Executive Director

Mr. W. A. P. Perera is a founder Director of AgStar Fertilizers PLC and serves as the Chairman of Sierra Cables PLC and a founder Director of Sierra Holdings (Private) Limited and Sierra Construction (Private) Limited. He has over 35 years experience in the Engineering and Construction industry.

6. MR. D. S. K. AMARASEKERA

Non -Executive Director

Mr. Kamantha Amarasekera is an eminent tax consultant and the Senior Tax and Legal Partner of Amarasekera & Company – a leading tax consultancy firm in the country. He is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney at- Law of the Supreme Court of Sri Lanka. He graduated in Business Administration from the University of Sri Jayawardenapura.

7. MRS. S. N. WICKRAMASINGHE

Independent and Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K. She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director -Sri Lanka Banks' Association (Guarantee) Ltd.

She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Private.) Ltd which is an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC, and Head of the Credit Counselling Centre.

8. MR. R. K. A. RANAWEERA

Independent and Non-Executive Director

Mr Athula Ranaweera is a fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka and holds an Honors degree in Business Administration from the University of Sri Jayawardenapura. He is the managing partner of Ranaweera Associates (Chartered Accountants) and also the Managing Director of Assent Advisory Partners (Private) Ltd. He counts over 40 years' experience in Auditing, Financial Reporting and Taxation.

In addition, he is an Independent and Non-Executive Director of Agalawatte Plantations PLC and act as a member of the Finance Committee and chairs the Audit Committee of the same. He serves as Board Member of Gampaha Wickramarachchi Ayurveda Institute – University of Kelaniya.

Mr Athula Ranaweera has been a member of the Board of AgStar PLC since 28 June 2019.

9. MRS. SUNJEEVANI KOTAKADENIYA

Alternative Director to Mr. K. Amarasekera

Mrs. Kotakadeniya is the Chief Financial Officer of LOLC Group and counts thirty years of experience in financial management, general management, treasury management and corporate planning in multiple industries. Her exposure to financial services spans across finance, insurance, leasing, factoring, fund management, unit trusts and stock broking companies. Her non-financial services experience covers the sectors of leisure, agriculture and plantations, trading, construction and renewable energy. She has been involved in several strategic mergers and acquisitions, business transformation, new business set up and has been a proponent of change management and steering change management initiatives.

She is a Director of several companies in the LOLC Group including Browns Hotels and Resorts Ltd. and its subsidiaries, Browns Capital PLC and its subsidiaries and LOLC Motors Ltd.

She was a Member of CIMA Sri Lanka during the years between 2012 and 2015 and a Member of Sri Lanka Accounting Standards Committee, and a Member of the Board of the National Council for Child and Youth Welfare.

10. MR. H. P. JANAKA DE SILVA

Independent and Non-Executive Director

(ceased to be a Director w.e.f. 28th June 2019)

Mr. Janaka de Silva is a holder of the B.Sc. (Ceylon) and a MBA (Sri Jayawardenapura) degree. He is a Fellow of the Institute of Chartered Accountants and the Institute of Bankers of Sri Lanka and counts over 40 years' experience in Banking and Finance.

Mr. de Silva served as a Consultant to the National Development Bank during the period of August 2003 to December 2007 and advised the bank on the integration of financial and accounting systems on the merger of NDB Bank with NDB. He joined Union Bank of Colombo Ltd at the pre-operational stage of the bank as General Manager/Chief Operations Officer and was appointed as the Managing Director/CEO in May 2002. During the period from April 1992 to April 1995 Mr. de Silva served as the Director-Operations of American Express Bank, Colombo and was responsible for all operational activities and functioned as the Quality Co-ordinator of the Colombo Office. In September 1976 Mr. de Silva joined Bank of Ceylon as Assistant General Manager/Controller and was elevated to the position of Corporate Adviser in 1979. In February 1987 Mr. de Silva joined Sampath Bank as the founder General Manager/CEO.

11. MR. A. G. WEERASINGHE

Independent and Non-Executive Director

(Ceased to be a director w.e.f. 28th June 2019)

Mr. Weerasinghe is an experienced senior banker who joined the AgStar PLC Board in the year 2011. Presently he serves as the Chairman of Lanka Century Investments PLC, Taprobane Securities (Private) Ltd, Taprobane Investments (Private) Ltd, Lexinton Holdings (Private) Ltd, Taprobane Wealth Plus (Private) Ltd, and Heron Agro Products (Private) Ltd and Lexinton Financial Services (Private) Ltd.

Mr. Weerasinghe holds a B.A. in Economics degree from the University of Ceylon, Peradeniya. Mr. Weerasinghe served as an Assistant Lecturer in Economics, University of Ceylon, Peradeniya. He was also a former President of Sri Lanka FOREX Association and a member of the Sri Lanka Cricket Board. He is an Associate and a Fellow member of the Institute of Bankers, Sri Lanka.

Mr. Weerasinghe was the former Deputy General Manager-Corporate Banking at Bank of Ceylon. He has served as Country Manager, Bank of Ceylon, London and Deputy General Manager, International at Seylan Bank. He was a Director and was subsequently appointed as the Chairman of Pan Asia Banking Corporation PLC in March 2008, and continued his service till March, 2012.

At present he serves on the Boards of many renowned companies in Sri Lanka, namely, Ceylon Leather Products PLC, South Asia Textile Industries Lanka (Private) Ltd, and Colombo City Holdings PLC.

Mr. Weerasinghe joined Bank of Ceylon in 1967 and was appointed the first Manager of Bank of Ceylon agricultural service centre branch in 1972 one of 300 branches opened throughout the Island to serve small farmers. He has extensive experience in supervised lending and collection in the above sector.

LEADERSHIP TEAM



Mr. Daya Jayasekara

Director - Technical



Mr. Athula Gunarathne

Director - Sales and Marketing



Mr. Ruwan Marambage

Director - Cropcare



Mr. Ashan Ratwatte

Director - New Business Development



Mrs. Uma Shanmuganathan

General Manager - Accounts & Administration



Mr. Aruna Kumarasinghe

SBU Head - Agstar Seeds and Prith Seeds



Mr. Lakmal Dasanayake

General Manager - Mahaweli Fertilizer



Mr. Vipula Widyaratne

General Manager - Technical



Mr. Dhanushka de Zoysa

Assistant General Manager - Corporate Sales and Exports



Mr. Saman Rajapakse

Assistant General Manager - Materials Management



Mr. Sumedha Bandara

Assistant General Manager - Cropcare



Mr. Chandana Udawela

Sales Manager



Mr. Asela Indika

Sales Manager



Mr. Gayan De Abrew

Manager - Finance



Mr. Lahiru Weeraratna

Manager - Financial Controls



Mr. Mohamed Rizny

Accountant

MANAGEMENT DISCUSSION AND ANALYSIS

About the AgStar PLC and Group

AgStar PLC has established its credentials as one of the market leaders in the importing, blending and marketing of fertilizer products. The AgStar PLC offers a range of organic and chemical fertilizers for use in agriculture, horticulture, floriculture, home gardens and green houses, having also forayed into agri machinery and agri tech recently. The Group operates warehousing facilities, which provide warehousing services and owns a land bank of approximately 1,540 perches in Ekala. The AgStar PLC has subsidiaries in the Fertilizer, Cropcare, Properties, Exports and Seeds sectors.

Performance of Agriculture Sector

The Sri Lankan economy posted a subdued growth in 2019, recording a GDP of 2.3% in 2019 compared to 3.3% in 2018. Weak growth was also reflected in the agriculture sector, which recorded a growth of 0.6% in 2019 compared to the growth of 6.5% in 2018. Extreme weather conditions affected the agriculture sector in 2019, as tea, rubber, marine fishing and marine aquaculture subsectors and forestry and logging activities contracted. However, since paddy production in 2019 was adequate to

meet the domestic demand for rice, imports dropped significantly during the year. Overall, the contraction in the 2019 Yala season and 2019/20 Maha season cultivation activities resulted in a negative growth of 0.3% in value added in the growing of rice subsector in 2019. Tea cultivation recorded a negative growth of 1.3% in 2019, resulting from the dry weather conditions that prevailed in the first half of the year, disruptions in labour supply amidst wage related trade disputes in the tea sector, and slowing of tea plucking activities due to heavy rains in the latter part of the year. Moreover, rubber production contracted by 9.5% in activities. Cultivation of cereals, spices, plant propagation and support activities to agriculture, and growing of other beverage crops such as coffee, cocoa etc., rice and other perennial crops also contracted, deterring expansion in overall agricultural activities, mainly on account of the unexpected weather related disturbances that occurred during the year. Nevertheless, oleaginous fruits (including coconut) and other fruits and vegetables expanded during the year, which had a favourable impact on the company.

The government has acknowledged the need for progress towards technology-oriented

agriculture, with the aim of enhancing agricultural value chains. Increased public investment in research and development activities through the numerous agriculture related research organisations in the country for data-driven, smart tech-based agricultural practices and creating a conducive investment environment for the private sector to invest in such activities, and increased access to credit at concessional rates are vital to boost technology innovations in the agriculture sector. In addition, increasing awareness on available services and enhancing access to concessional loans to support farmer level investments have also been deemed critical to address constraints for technological adoption at the grassroots level.

FERTILIZER

The fertilizer business has always been a challenging one as it is a highly regulated industry and historically subject to ad hoc policy-making. Despite these constraints, the segment performed reasonably well during the year under review although turnover dropped by 40% as against 2018/19. Greater government subsidies coupled with restriction of imports impacted the sector. Nevertheless, the company achieved set volume targets by selling 59,954 MT of fertilizer as opposed to 76,368 MT sold in the previous year. The strategic restructuring of field staff and dealer network, improved quality of blends, new credit policy, monitoring and proper controlling of credit for dealers, and regional





sales quota for managers were measures adopted by the company, which contributed to the improved performance.

Despite the drop in turnover, the fertilizer business' contribution in 2019/20 recorded Rs. 542 Mn. Operating profit rose to Rs. 314 Mn from Rs. 281 Mn in the previous year. The segment ended the financial year with Rs. 193 Mn as Net Profit After Tax, which reflects a 8% drop over the previous year mainly due to increase in finance cost.

The delay in subsidy payment in the Fertilizer sector is an inherited problem and the company waits anxiously to be paid the outstanding subsidy amount of Rs. 2 bn which is now overdue for a considerable period of time.

The AgStar product portfolio has benefited by way of targeted brand-building efforts over the past several years, as the brand is now well-established within the nation's farming community. Regional Plantation Companies (RPCs) are key customers of the company and AgStar has established its brand in cultivation areas and ensured strategic and timely distribution of products to these important customer segments which helped to achieve the sales targets during the period under consideration. The Advisory and Development team of the company has been closely engaged with the farmers as well. The company is

now exploring new improved mixtures and scientifically blended fertilizers to cater to diversified needs of farmers with the aim of living up to its brand value - value adding.

Other measures adopted by the company to enhance efficiency were closer credit monitoring and controlling as a result of which bad debts were brought down from Rs. 37 Mn to Rs. 10 Mn. Closely monitoring credit transactions, conducting monthly meetings and regional auditing practices have now been put into place. The company's enhanced financial performance and operational excellence were possible because of the team's immense hard work and openness to new ideas.

Looking ahead, the focus will be on achieving set targets and considering the encouragement the agriculture sector is receiving from the government as an essential service, we expect a better performance in the fertilizer segment. AgStar has the capability and confidence to achieve its goals and targets.

CROPCARE

Cropcare operations recorded significant sales growth in 2019/20, as sales rose by 41% in the year under review, while revenue percentage growth was significant compared to rest of the industry. Overall, the cropcare segment reflected a significant increase in gross profit & operating profits for a company in the agro chemical industry. Innovative sales and marketing strategies were critical factors in this performance and strategic alignment of leadership contributed to product development and played a pivotal role in driving sales. During the year, micro nutrient and foliar fertilizers were added to the portfolio. These revenue generating products aligned well to market demand. Renewed vigour in the product development area also helped to increase profits. During the year under review, we took steps to realign the sales force in tandem with territory demarcation and hierarchical and reporting structures which positioned the company more





strongly. Through the year, the focus was on developing the cropcare segment by greater interaction with end users, raising awareness, sharing technical knowhow and conducting more trials etc, all of which made a positive contribution.

The company has found innovative products and product mixtures. By introducing sustainable and more effective products for farmers, we are ensuring greater brand loyalty. Now that the cropcare sector has established strong growth momentum, the same will be sustained through eco-friendly products and technologically advanced products as trends dictate, while phasing out traditional chemicals. Our goal is to strengthen our product portfolio by adopting a sustainable approach in a highly regulated industry. Moreover, the government is laying a greater thrust on agriculture as a priority industry and this augurs well for the future prospects of the sector. The company is now ideally positioned to leverage on the AgStar brand, its Island-wide service network and dynamic new sales team.

SEEDS

AgStar Seeds

AgStar vegetable seeds launched a new product “Carrot Kuroda” during the year. Chillies and Carrot Kuroda played an important role in achieving targets during the year. However, Beans sales dropped as government restricted imports of bean seeds during the year. Due to supply constraints faced by maize suppliers from Indonesia,

this segment of the business too declined. Undeterred, the company is planning to introduce four new products in the new financial year. The company is committed to doubling sales of maize over the previous year via new market and expansion. National average of maize yields in Sri Lanka are low and AgStar have introduced an initiative to partner farmers by sharing knowledge and technology to help achieve higher yield per acre. Users of AgStar maize seeds will be benefited from the technical advice shared by staff to accrue high yields.

Favourable weather conditions supported the company’s strategy to maintain high quality seed paddy supply, which resulted in this segment achieving its budgeted sales target. The company is now positioned as the third-largest supplier of seed paddy in the country. The strategy going forward is to supply high quality seed paddy in an uninterrupted manner and to focus on improving quality over quantity in order to create a special niche for the company. The company works closely with the Department of Agriculture to educate farmers and ensure they follow best practices in farming with a view of increasing paddy yields. Regular workshops are conducted for farmers to enhance their knowledge and expertise.





Prith Seeds

Prith Seeds doubled its gross profit and recorded an increase in turnover by 25% after successful sales of chilies, cabbage, butternut, pumpkin and radish seeds which were well-accepted in the market. The main customers for the company's seeds are located in upcountry regions, accounting for majority of the sales. During the year under review, the company successfully exceeded set targets of many products including Radish Op and Pumpkin which were introduced during the year.

In an update to the case against the copycat suppliers duplicating Prith Seeds' packaging and selling fraudulently in the market, We sought an enjoining order and interim injunction from court. Further, sought a declaration that the defendants are not entitled to use the marks, names and business identifiers on their products. The Defendants have informed the court that their willingness to settle this matter by giving us the reliefs we have prayed for in the plaints of these matters. Accordingly, negotiations are currently going on between parties.

The core strategy of this segment is to bring prosperity to farmers by providing them with quality the agri inputs they need to achieve prosperity coupled with technical inputs and knowledge sharing for optimum yield.

PROPERTY

The fair valuation of company owned land and building in Ekala delivered a substantial gain during the year. The prospects for this segment of the business are promising as permission has been secured for building a 83,000 sq ft warehouse and a 10,880 sq ft office cum facility at the Ekala land. The company expects the facility to be completed early next year. The demolishment of the old building was undertaken at a cost of Rs. 80 Mn which had to be written off. Total value of the assets was valued above Rs. 1.1 billion as at 31st March 2020.

EXPORTS

Despite the company's best efforts to secure export markets and competitive prices for local farmers for tea, cinnamon and spices,

global demand remained weak through the period under review, leading to a drop in turnover. AgStar Exports (Private) Ltd was established in 2013 with a vision of becoming the premier supplier of specialty value added Ceylon cinnamon, other spices and all natural food and food ingredients from Sri Lanka. The company is foraying into exporting tea and coconut products in value added form in the future.

The export department has been reevaluated and repurposed following a self-audit and plans are in place to explore markets for exotic fresh fruit, organic coconut oil, organic cinnamon and spice. The company continues to participate in overseas trade shows and promotions to network with prospective buyers in existing and new markets. AgStar Exports plans to double its export turnover going ahead.





The company identified and associated with Kartar the leading brand in India for combine harvesting machines as the right mechanization brand suited for local conditions and offers greater value than existing products in Sri Lanka. The company has formed a dynamic new sales team, with the addition of several executives from automobile companies so that they possess technical knowledge. The team has been deployed for sales of these new models and is working closely with the farmer community to understand which Kartar model of tractor or harvester suits their needs. The Kartar brand can be considered the safest tractor in its category, it is easy to operate and has many modern features that makes it one of the most trendiest products in the market.

Going ahead, we plan to introduce more agri-tech solutions such as crop harvesters and transplanting machines. AgStar's mission is to add value to customers. There is clearly a growing demand for agri-machinery and the company will consider diversifying into irrigation systems, greenhouse facilities and drone technologies with a view to drive productivity through mechanization and improved technologies.

AGRI-TECH

Midway through the year under review the company launched a new venture to expand its reach in agro-technology and agro-machinery space. Market research indicated that farmers are often unable to find suitable and affordable machinery in the market to progress into the much needed mechanization of their farm operations.

Farmers are continually facing labour shortages as younger generations migrate to cities to work. The government has launched initiatives to extend loans and incentives to farmers to encourage and support mechanization. Meanwhile, land extent is reducing, which means farmers need to derive higher yield from dwindling arable land. The fact is that our main hope for agricultural prosperity is through

mechanization that will help improve productivity and postharvest efficiencies. Sri Lanka is already far behind in terms of farmer productivity and yield per acre amongst the region and needs to catch up.



FINANCIAL REVIEW

The Group posted a profit of Rs. 138 Mn and other comprehensive income of Rs. 65.7 mn for the 2019/20 financial year, which includes a Rs. 66 Mn (net of tax) revaluation gain on land and buildings. The group profit dropped by 39% compared to the previous year due to the demolition expenses of buildings undertaken for further warehouse expansion. The written off buildings had a net book value of Rs. 80.6 mn.

In light of the challenging year, the turnover has dropped due to fertilizer price ceiling and quota system introduced by the government, however Profit after tax stood at Rs. 193 Mn as against Rs. 211 Mn recorded in the previous year. The company had to pay a heavy interest cost due to delay in subsidy payment. The subsidy receivable balance from the government went up to Rs. 2.9 bn as at year-end, of which, Rs. 2.1 bn is over the stipulated period. Further, foreign currency exchange gain dropped by 55% compared to last year which reduced the overall profit by 9%.

The total asset base of the Group increased by 10% during 2019/20 and return on assets at 2.3% showed a drop compared to 4.23% in the previous year.

Earnings per share reflected a decrease to Rs. 0.42 as compared to Rs. 0.08 in the previous year. There were no new share issues during the period under review and the return on shareholders' equity was at 4.56% as against 7.84% in the year 2018/19.

Shareholder Information

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Share Prices

The highest share price recorded during the financial year was at Rs. 5.20 whereas the lowest recorded at Rs. 3.00. The table of graphs depicts the AgStar share price trends during the year under review. The share prices fluctuated during the year under review ending at Rs. 3.10 per share as at 31 March 2020.

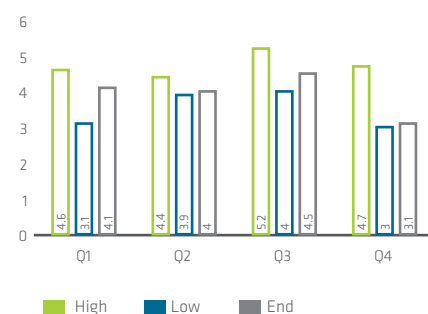
The Interest Cover

The interest cover during the year reduced to 2.5 times from the figure of 3.5 times (on profit from continued business) in 2018/19. This is as a result of delay in repayment of loans due to the late payment of subsidy money and overall increase in the interest cost in the group as a whole compared to previous year.

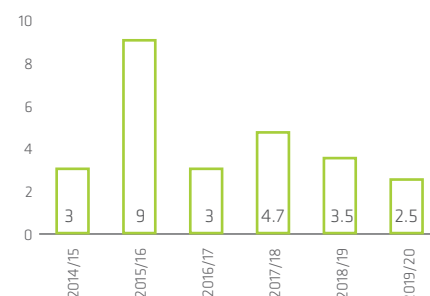
Dividends

No dividend has been proposed by the Board for the financial year 2019/20.

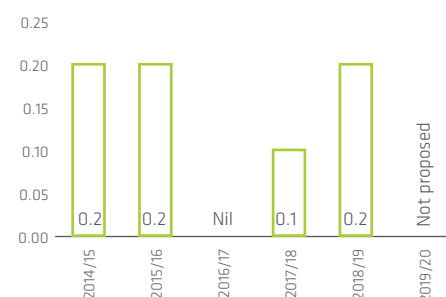
Share price



Interest Cover (times)



Dividend per share (Rs.)



SUSTAINABILITY REPORT

Management Approach

Sustainability is central to AgStar PLC's business model, which combines farming expertise to enable farmers to achieve high yields and greater prosperity through the company's portfolio of agri inputs, while nurturing the soil and the environment. Our approach to sustainability aims to create a better future for stakeholders by generating economic, environmental and social value. AgStar is led by a renewed vision to be a change agent and to transform farming by engaging farmer societies in modern agri practices.

Operating in a sector that is highly vulnerable to inclement weather conditions and ad hoc policymaking, the company realizes that the foundation of resilience in the face of challenges comes from its knowledge-based culture. By empowering both internal and external stakeholders with the precise technical inputs and eco-friendly products to enhance food security, AgStar is ensuring a sustainable future for millions of farmers in Sri Lanka.

AgStar has prioritized Technology as the key differentiator in the Group's futuristic strategy and outlook for the sector. The organization works with both internal stakeholders, such as Employees, and external stakeholders, such as Business Partners, Farmers, Community and Environment to achieve its goals. The Group conducts a range of Corporate Social Responsibility (CSR) projects to make a tangible difference amongst its stakeholders.

EMPLOYEES

Recruitment and Retention

Fulfilling our vision to be the most valuable agri-business in Sri Lanka, the AgStar Group has built senior leadership and staff that is knowledgeable, dynamic and committed in achieving a common vision. The AgStar

values and work culture attract the best talent in the industry, inspired by its renewed vision for innovation, technology and its entrepreneurial spirit.

The Company continues to invest in its employees to ensure a high performing workforce. At the outset, the Group ensures that the salary and benefits are competitive in the industry so as to attract the brightest talent in the field. As for talent retention, the Group conducts various training sessions for staff to enhance their professional capabilities and leadership qualities and ensures a succession pipeline with a clear roadmap for career growth in the Group. As a result, the organization has many longstanding employees who have made a valuable contribution to the growth and the stature of the business.

Equal Opportunity Employer

The company has a zero tolerance policy for discrimination on any grounds whatsoever and as a result comprises of a diverse set of employees. The secret to a happy workforce lies in fairness and transparency and the Agstar Group has put in the right checks and balances to ensure fair treatment for all employees while respecting their human rights and according them dignity.

Training and Development

Creating a base of knowledgeable employees requires investment in training and

development towards which the Group has invested in a significant manner. The Group's training model ensures that all key staff receives appropriate training that helps them to provide a better service to customers while also making a greater contribution to the company. A fair and performance-driven appraisal system provides the right encouragement to keep employees engaged and committed to the Company's overarching vision.

During the year under review the following training programmes were held:

- Special training on proper usage of tractors and machineries by Kartar India and Shaktiman India
- Several demonstration sessions and training programmes were organized for farmers regarding Kartar tractor's special features and proper usage
- Training on efficient usage of new accounting system and BI tools.

Health and Safety

AgStar takes pride in being fully compliant with workplace safety regulations and required legal, industry and market requirements pertaining to employee welfare. Employees are briefed about safe use of products and an injury-free workplace is maintained at all times.





Welfare

AgStar has in place a robust welfare scheme for employees, which continues to deliver multiple benefits. The scheme consists of an allowance that is paid in the event any employee suffers due to natural disasters; a Gift allowance for the employee's wedding or at the time of the birth of the first child. Moreover, under welfare scheme during the year, an inter-departmental

cricket tournament was held for the second consecutive year and witnessed the participation of 100 enthusiastic and talented participants, cheered on by their colleagues. The Annual Get-together was held at Club Hotel Dolphin, Negombo, with great fanfare.

BUSINESS PARTNERS

AgStar PLC has become the preferred supplier of Seeds, Fertilizer and Cropcare to the nation's farming community because of the trust and confidence it has built amongst farmers and dealers. Demonstrating just how much it values its relationships with its key partners, the AgStar Group invests in research and development to enhance the quality of its products and services in a responsible manner.

Farmers

The AgStar brand of products supports farmers by ensuring its products are of the highest quality. The field staff shares technical knowledge with farmers on how to enhance yields and other crop cultivation methods. Much of its focus is on uplifting farmers to a better

quality of life by enhancing productivity and generating higher yields through sound technical advice and high quality agri inputs. The Group also recognizes the generational challenges being faced amongst the farming community and is proactively introducing agri tech wherever possible to attract the younger generation to remain in farming. Special training on proper usage of tractors and machineries by Kartar India and Shaktiman India was provided during the year under review. With greater infusion of technology AgStar hopes youth will see farming and related activities as a viable career, ensuring long-term security of supply of labour.

The company also remains on educating farmers on the correct methodology along the entire value chain of cultivation for sustainable profits.

AgStar conducted the following programmes amongst the farmer community during 2019:

- Micro Maize Wonder product training in Kahatagasdigiliya, Anuradapura, with around 50 participants
- Micro Paddy Wonder product training in Anamaduwa, Puttalam, with around 80 participants
- Trainings in Galenbindunuwewa, Anuradapura, Girandurukotte; and Uraniya, Mahiyanganaya related to fertilizer usage.
- Workshop on Tea Growing in Matala and Kandy for more than 100 participants



Dealers and Distributors

The AgStar Group has a wide distribution network across the country to ensure easy access to its products. The company's product portfolio consists of a wide range of seeds and cropcare products needed to ensure a bumper harvest. The Company maintains strong relations with distributors and regularly encourages them through incentives to drive sales, whilst simultaneously encouraging customers to buy ecofriendly cropcare products to protect the soil and the environment. Distributors are educated in product handling and delivery. The regular engagement with distributors and dealers has resulted in better sales. AgStar is also training their staff on technical aspects of selling their products. Extension officers have been appointed in Anuradhapura, Batticaloa and Polonnaruwa to engage with farmers in addition to the existing dealer network. These officers are equipped with the adequate knowhow to educate famers in turn.

Customers

AgStar is perceived as a trusted and reliable brand by customers Island-wide. The company maintains strict protocol in packaging and distribution of its products to ensure the customer gets a high quality product every single time. Moreover, the company maintains a two-way communication with customers and distributors to solicit their feedback for



further improving their offerings. All safety and product use details are clearly displayed on the packaging of its products to ensure the product is used safely and responsibly. Any complaint is redressed immediately through a formal mechanism.

COMMUNITY

The AgStar Group nurtures relations with the local communities within which it operates and constantly contributes to their welfare through various Corporate Social Responsibility (CSR) projects. Just as the company's products and service help farmers create economic value, AgStar is also focused on generating social value as well by supporting local communities during significant occasions. During 2019, AgStar PLC organized Alms-Giving functions amongst the farming community and surrounding villages of Ekala. Furthermore, many employees in its factory are sources from the immediate vicinity which has further strengthened the common bond with the local community.

ENVIRONMENT

In order to ensure that AgStar's products have a sustainable effect on the soil and environment, the company invests heavily in research and development to ensure the

safety and efficacy of its agri inputs. At the same time, the entire Group works together to monitor water and energy consumption as well as emissions from production in order to remain within acceptable norms. The Group is mindful about greening its environmental footprint and one of the highlights of its future strategies is to focus on developing eco-friendly cropcare products while phasing out the traditional chemical based counterparts.

The Group has also forayed into renewable energy by adopting the rooftop solar initiative. The Ceylon Electricity Board (CEB) has extended approval for solar energy roofing for 1.3 MW of power. The AgStar Board has proved proposal in the year under review and expects to implement this project to generate 1.3 MW of power.

Sustainable Future

AgStar has always been uncompromising on key sustainability issues and has strictly complied with regulatory compliance, health and safety, environment protection and so on, to ensure sustainability of all stakeholders. We will continue to adopt this successful approach while driving greater value creation for all our stakeholders both internal and external.



CORPORATE GOVERNANCE

General Governance Policy

The concept of corporate governance covers the entire accountability framework of an organization. It encompasses aspects of both corporate and business governance and is based on the premise that a good governance policy alone cannot make an organization successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organization is able to focus on the key drivers of the business. This concept emphasizes the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas. AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

Agstar's Adoption of Corporate Governance

Being a listed company committed to maintain ethics and professionalism in

every sphere of activity, AgStar adheres to high standards of corporate governance. It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled. Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

Detailed description of the Group results and appropriation is given below.

Corporate Governance Principle	Principle No.	Level of Compliance
Directors The Board	A.1	The Board provides the leadership in realizing business objectives, value creation and risk management while promoting a culture of transparency and integrity in carrying out the Company's business functions. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year.

Corporate Governance Principle	Principle No.	Level of Compliance				
The Board (Continued)	A.1 (Continued)					
		Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Committee Meetings
		Mr. N. G. R. Karunaratne	3/4			1/4
		Mr. D. N. N. Lokuge	4/4		1/1	
		Mr. A. P. Weerasekera	4/4			1/4
		Mr. A. P. W. Perera	4/4			
		Mr. D. S. K. Amarasekera	0/4			
		Mr. R.K. Athula Ranaweera	3/4	3/4	1/1	3/4
		Dr. (Mrs.) A.D.N. de Zoysa	3/4	3/4		3/4
		Ms. S. Wickramasinghe	3/4	3/4	1/1	3/4
		Mr. H. P. J de Silva	1/4	1/4		1/4
		Mr. A. G. Weerasinghe	1/4	1/4		1/4
		Mrs. S. Kotakadeniya (Alt. Director to Mr. D. S. K. Amarasekera)	0/4			
The Responsibilities of the Board						
The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively.						
The Board is responsible for the following:-						
• formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions						
The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report.						
Obtaining Independent Professional advice						
In discharging their duties the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company.						
Company Secretary						
The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with board procedures, relevant statutory obligations and other applicable rules and regulations.						

Corporate Governance Principle	Principle No.	Level of Compliance
The Board (Continued)	A.1 (Continued)	Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.
Chairman's role	A.3	The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial Acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance
Board balance	A.5	Composition The Board currently comprises of eight Directors which include six Non- Executive Directors and two Executive Directors. Three out of six Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Mrs. S. Wickramasinghe, Dr. (Mrs.) A.D.N. de Zoysa and Mr. R.K. Athula Ranaweera meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules.

Corporate Governance Principle	Principle No.	Level of Compliance
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director.
Re-election	A.8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of the Company.
Appraisal of the Managing Director	A.9	The Annual appraisal of the Managing Director is carried out by the Board against pre-agreed performance targets.
Disclosure of Information in respect of Directors	A.10	Current Directors' biographical details such as name, qualifications and brief profile are set out on pages 14 to 15 of this Annual Report. These include their main external commitments.
Level and makeup of remuneration	B2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 37 of this Report.
Disclosure of remuneration	B3	The total remuneration of the Directors' is disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.

Corporate Governance Principle	Principle No.	Level of Compliance
Major transactions	C3	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 01 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.
Financial and business reporting	D1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 36 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Audit Committee	D3	The Audit Committee consists of three Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks • Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met five times during the year The Chairman and the Managing Director of the Company attended all meeting by invitation.
Code of Business Conduct and Ethics	D5	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Institutional and Other investors		
Shareholder voting	E1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Disclosures pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1(a)	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs	✓	Corporate Governance Report
7.10.2(a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent	✓	Corporate Governance Report
7.10.2(b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non- independence in the prescribed format	✓	Corporate Governance Report
7.10.3(a) and (b)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	✓	Corporate Governance Report
	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is met	✓	Corporate Governance Report
7.10.3(c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/ her area of expertise	✓	Profiles of the Board of Directors
7.10.4 (a- h)	Criteria for defining "independence"	Requirements for fulfilling criteria of "Independence"	✓	Corporate Governance Report
Rules relating to Remuneration Committee				
7.10.5(a)	Composition of Remuneration Committee	The Committee shall comprise of Non- Remuneration Executive Directors, majority of whom shall Committee be independent The Chairman of the Committee shall be a Non- Executive Director	✓	Directors' Report on the state of affairs of the company
7.10.5(b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the functions of the remuneration payable to the Executive Remuneration Directors and Chief Executive Officer or Committee equivalent role	✓	The Remuneration Committee Report
7.10.5 (c)	Disclosure in the Annual Report	The Report should include the names of Annual Report the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors	✓	The Directors' Report on the state of affairs of the company and the Remuneration Committee Report
Rules relating to Audit Committee				
7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	✓	The Directors' Report on the state of affairs of the Company and the Audit Committee Report

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re-appointment or removal of the external auditors and approving their remuneration and terms of engagement	✓	Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	✓	Directors' Report on the state of affairs of the Company, Audit Committee Report
Rules relating to Related Party Transaction Review Committee				
9.2.1	Related Party Transaction Review Committee (RPTRC)	Reviewing of Related Party Transactions except transactions mentioned under rule 9.5 should be carried out by the committee prior to entering into completion of the transaction	✓	Directors' Report on the state of affairs of the Company, Related Party Transaction Review Committee Report
9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non- executive director shall be appointed as Chairman of the Committee.	✓	The Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report
9.2.4	Frequency of Meeting	The Committee shall meet at least once a calendar quarter. The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors	✓	Related Party Transaction Review Committee Report
9.2.5	RPTRC access to knowledge, expertise or professional advice	Committee should have access to knowledge or expertise to assess all aspects of proposed related party transaction or obtained appropriate professional and experts' advice.	✓	Related Party Transaction Review Committee Report

REPORT ON RISK MANAGEMENT

There is no business that can be found that does not face any risk in the world. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two-fold; systematic risk and unsystematic risk.

Systematic risk is the risk which cannot be diversified or avoided. On the other hand the unsystematic risk represents the risk unique

to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group of companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment Government rules and regulations in relation

to the agro industry etc. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. The following are the highlights of the key risks and the associated risk mitigating activities of the AgStar group.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio	Stringent evaluation of risks associated with each new investment is carried out by in-house expertise and external resources as and when required. Formation of strategic alliances with reputed partners to create synergies and share the investment risk. Address potential adverse ethical, social and environmental factors before venturing into such new projects
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL) Delays in subsidy component settlements	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Constant follow-up with Government authorities to recover the subsidy component within the stipulated time period. Carrying out necessary and appropriate representative efforts in this regard.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Closely monitors domestic and global economic activities that could have an impact on Group's business to take precautions. Maintain sound relationships with relevant stakeholders
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Ensures maximizing returns on financial investments and minimizing cost borrowing Use of appropriate financial and hedging strategies to minimize interest rate risk. Negotiate for concessionary interest rates using AgStar's strength as a listed Company
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Participates in representative efforts against regulations that could have a negative impact on business / industry.
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct in-depth analysis of debtors on their performance. Regular follow-up on overdue debtors to minimize potential losses.

Description of Risk	Risk Mitigation
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build a strong employer brand. Implement an effective human resource policy and a plan which is reviewed by the remuneration committee. Adopt an open door policy where any employee can speak to the senior management regarding their concerns.
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure complaints and the effectiveness of internal control system. Maintain a business continuity plan to ensure disaster preparedness.
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a business continuity plan to ensure disaster preparedness. Use of AgStar's group strength as a listed Company to raise economical funding as and when required.
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Appropriate representative efforts
Competition Risk Risk of losses from a decline in company's competitiveness.	Carry out regular analysis on competitor activities and performance. Formulate strategies to enhance AgStar's market share.

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Statement sets out the responsibilities of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors' Report on pages 50 to 53.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of accounts of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Company as at the end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2020, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies that have been selected and applied consistently.
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards(LKAS);

- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 50 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the statement of financial position have been paid, or where relevant provided for, except as disclosed in note 31 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



P. R. Secretarial Services (Private) Limited
Secretaries
Colombo

July 08, 2020

REMUNERATION COMMITTEE REPORT

Composition of Committee

The remuneration committee appointed by the Board of Directors consists of two independent non-executive Directors and one non-executive Director. The members of the committee during the year under review were Mr. D.N.N.Lokuge (Chairman), Mr. R.K.Athula Ranaweera and Ms. S.Wickramasinghe.

Committee Meetings

The committee met once the year under review as per the table on page 28 of this report and the minutes of the meeting are presented to the Board.

Attendance

The Chairman and the Managing Director attended the meeting of the Remuneration Committee by invitation as the senior executives to discuss the management performance and to make proposals as deemed necessary except where their own remunerations are discussed.

Role of the Committee

The role of the Remuneration Committee is to;

- formulate remuneration policy of the company to attract and retain high caliber personnel and motivate them
- make recommendations to the Board and monitor the level and structure of remuneration for senior management
- make recommendations to the Board on the Company's framework of executive remuneration and its' cost, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors

- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions)

Remunerations to Directors

The remuneration paid to Directors during the year under review is indicated in note 10 to the financial statements.



D. N. N. Lokuge
Chairman- Remuneration Committee
Colombo

July 08, 2020

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Adoption of the Code of Best Practices on Related Party Transactions

The Board of Directors of the Company decided to adopt the Code of Best Practices on related party transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka (SEC) and established the Related Party Transactions Review Committee at its meeting held on 30th March 2016.

Purpose of the Committee

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

Composition of the Committee

The Committee consists of three (3) members of independent Non-Executive Directors. The members of the Committee are:

Name	Position
Ms. S. Wickramasinghe (Committee Chairperson)	Non -Executive and Independent Director
Dr. (Mrs.) A. D. N. de Zoysa	Non -Executive and Independent Director
Mr. R. K. Athula Ranaweera	Non -Executive and Independent Director

Charter of the Related Party Transaction Review Committee

The Related Party Transaction Review Committee Charter clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently the Committee has been authorized to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities.
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from within or without the Company as deemed necessary by the Committee in order to carry out its duties; and
- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

Responsibilities

The following key responsibilities have been set out in the Charter;

- Ensure that the company complies with the rules set out in the Code.

Subject to the exceptions given under Rule 27 of the Code, the Committee shall review in advance all proposed related party transactions.

- Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee of the Board of Directors as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

Meetings

The Committee shall meet on quarterly basis and the attendance at meetings is given in table on page 28 of this Annual Report.

During 2019/20 period, four meetings were held by the Committee to review the proposed related party transactions.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2019/20. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not favorable to the related parties than those generally available to the public. The details of related party transactions entered during the year are given in Note 29 to the financial statements on page 105 of this Annual Report.

Policies and Procedures

The Accountant is responsible for reporting to the Committee for its review and approval/ disapproval, the information set out under Rule 30 of the Code at the minimum in respect of each related party transaction proposed to be entered into other than the exceptions given in Rule 27 of the Code.

In addition, on a quarterly basis, the Accountant is required to report the previous quarter's actual related party transactions to the Committee.

Declaration

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.



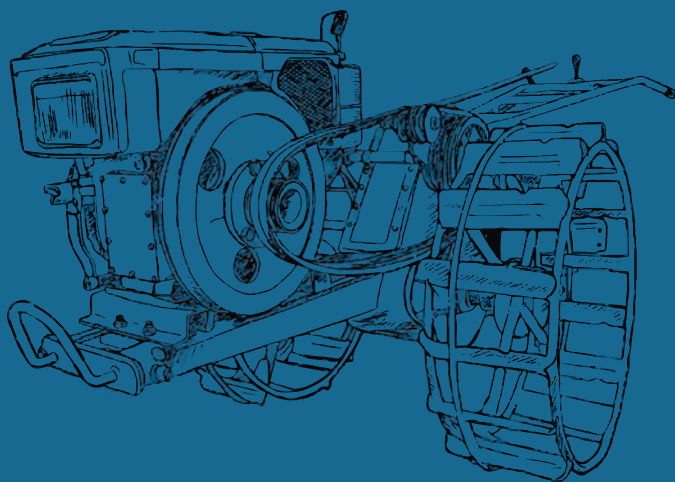
Ms. S. Wickramasinghe
Chairperson
Related Party Transaction Review
Committee

July 08, 2020

FINANCIAL CALENDAR

Financial Year end	-	31st March 2020
Announcement of results		
1st Quarter ended 30th June 2019	-	13th August 2019
2nd Quarter ended 30th September 2019	-	14th November 2019
3rd Quarter ended 31st December 2019	-	13th February 2020
4th Quarter ended 31st March 2020	-	13th July 2020
Notice of Annual General Meeting	-	22nd July 2020
18th Annual General Meeting	-	13th August 2020

FINANCIAL INFORMATION



- 42** Directors' Report on the State of Affairs of the Company
- 49** Audit Committee Report
- 50** Independent Auditor's Report
- 54** Statement of Profit or Loss and other Comprehensive Income
- 55** Statement of Financial Position
- 56** Statement of Changes In Equity
- 57** Consolidated Statement of Changes In Equity
- 58** Statement of Cash Flows
- 59** Notes to the Financial Statements

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The details set out in the following report provide information required by the Companies Act No 07 of 2007 and the listing rules of the Colombo Stock Exchange of Sri Lanka and are guided by recommended best practices on Corporate Governance. This Report was approved by the Board of Directors by Resolution passed as of 08th July 2020.

General

The Directors of AgStar PLC (the Company) have pleasure in submitting their report together with the audited Financial Statements of the Company, and the audited consolidated Financial Statements of the Group for the year ended 31st March, 2020 and the Auditors' Report thereon.

Review of Performance for the Year Ended 31st March, 2020

The operations of the Company and its subsidiaries for the year ended 31st March, 2020 are reviewed in the Chairman's Report and the Managing Director's review.

Company Activities and Structure

AgStar Fertilizers (Private) Limited (Reg: No. N[PVS] 30875) was incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and was re-registered as per the Companies Act No. 07 of 2007 (Reg: No PV 1618) On 26th December, 2007. The name of the Company was changed to AgStar Fertilizers Limited (Reg. No. PV 1618 PB) pursuant to the change of its status to a limited liability company. On 16th February, 2012 the shares of AgStar Fertilizers Limited were listed on the DiriSavi Board of the Colombo Stock Exchange and the name of the Company thus changed to AgStar Fertilizers PLC with effect from 8th May, 2012. Subsequently, the name was changed to AgStar PLC with effect from 21st July 2014.

During the year the Principal Activity of the Company was to carry out the business of importing, blending and marketing of fertilizer products.

The Company has eight subsidiary companies and their activities are given on page 59 of this Annual Report.

Directors' Responsibility for Financial Reporting

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the subsidiaries as to the true and fair view of the State of Affairs of the Company and its subsidiaries.

The Statement of Directors Responsibility for Financial Reporting is given on Page No 36

The Financial Statements of the Company and the Group are given on pages 54 to 116.

Accounting Policies

The Accounting Policies adopted in preparation of Financial Statements are given on pages 59 to 76 There were no material changes in the Accounting Policies of the Group during the year under review.

Auditors

The Financial Statements for the year ended 31st March, 2020 have been audited by Messrs KPMG (Chartered Accountants.)

A resolution for the re-appointment of Messrs KPMG Chartered Accountants and authorizing the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note No 10 on Page 79 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG do not have any relationship with the Company other than that of Auditors.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page No 50 of this Report.

Results and Appropriations

The profit after tax of the parent Company, AgStar PLC was Rs. 193.3 million (2019- Rs. 211.3 million), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 137.9 million (2019- Rs. 226.4 million). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below.

Financial Results	31st March 2020	31st March 2019
Operating Profit	259,822,682	314,716,563
Finance Cost	(105,296,113)	(90,316,652)
Finance Income	50,707,484	96,623,836
Profit before Tax	205,495,687	321,023,747
Tax Expense	(63,977,014)	(75,805,475)
Profit from continuing operations	141,518,673	245,218,272
Profit from discontinued operations, net of tax	(3,529,688)	(18,849,648)
Profit /(loss) for the Year	137,988,985	226,368,624
Other comprehensive income, net of tax	(147,932)	(326,329)
Profit/(loss) Available to Group's Shareholders	137,841,053	226,042,295
Balance Brought Forward from Previous Year	1,020,712,282	827,169,987
Amount Available for Appropriation	1,158,553,335	1,053,212,282
Transfer of revaluation reserve on buildings demolished	52,559,670	-
Final Dividend	(65,000,000)	(32,500,000)
Balance to be Carried Forward Next Year	1,146,113,005	1,020,712,282

Dividends

The Company declared no dividend payment for 2019/ 2020 financial year.

Property, Plant and Equipment

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note No 15 to the Financial Statements on pages 86 to 92. The book value of property, plant and equipment as at the reporting date amounted to Rs. 1,651 million (2019-Rs. 1,527 million) and Rs. 399 million (2019-Rs. 391 million) for the Group and Company respectively.

Stated Capital

The Stated Capital of the Company as at 31st March, 2020 was Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares (2019- Rs. 1,204,093,67 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares) a given in note 23 to the financial statements.

Donations

The Company has made no donation during the year (2019 -Rs.17,000)

Capital Commitments

The Capital Expenditure Commitments as at 31st March, 2020 is given on page 108.

Revenue Reserves

The reserves consist of retained earnings. The revenue reserves as at 31st March 2020 for the Group and Company amounted Rs. 1,146 million (2019-Rs. 1,021 million) and Rs. 1,124 million (2019- Rs. 996 million). Details and movements of reserves are disclosed in the Statement of Changes in Equity on Pages No 56 to 57 to the Financial Statements.

Provision for Taxation

The provision for taxation is computed at the rates as disclosed in Note No. 11 on page 80 to 82 the Financial Statements.

Statutory Payments

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 36 of this Report.

Contingent Liabilities

Contingent Liabilities outstanding as at 31st March, 2020 are given in Note No 31 on page 108 to the Financial Statements.

Events after the Reporting Period

The events occurring after the reporting dates are given in Note No 32 on page No 109 of the report.

Corporate Governance and Internal Controls

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

An Audit Committee, Remuneration Committee and the Related Party Transaction Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows;

Audit Committee

- Mr. R.K. Athula Ranaweera (Independent Non-Executive Director) - Chairman
- Dr. (Mrs.) A.D.N. de Zoysa (Independent Non - Executive Director)
- Mrs. S. Wickramasinghe (Independent Non - Executive Director)

Remuneration Committee

- Mr. D. N. N. Lokuge (Non-Executive Director) - Chairman
- Mr. R. K. Athula Ranaweera (Independent Non - Executive Director)
- Mrs. S. Wickramasinghe (Independent Non - Executive Director)

Related Party Transaction Review Committee

- Mrs. S. Wickramasinghe (Independent Non - Executive Director) - Chairman
- Mr. R. K. Athula Ranaweera (Independent Non-Executive Director)
- Dr. (Mrs.) A. D. N. de Zoysa (Independent Non - Executive Director)

Company's compliance with rules on corporate governance are given in corporate governance report on pages 27 to 33. The Audit Committee Report and the Remuneration Committee Report are disclosed in Page No 49 and Page No 37 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

Compliance with Rules & Regulations

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

Going Concern

After considering the financial position as at 31st March 2020 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore the Directors have adopted the assumption of going concern in preparing these Financial Statements.

Employment Policy

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2020 was 161.

Equitable Treatment to Stake Holders and their Interest

The Group has taken all steps to ensure the equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safe guard the interest of its stake holders.

Environmental Protection

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

Directors during the Year

The Directors of the Company during the financial year were as follows:

- Mr. N. G. R. Karunaratne (Chairman)
(Ceased to be a Chairman / Director w.e.f. 28.06.2020)
- Mr. D. N. N. Lokuge (Deputy Chairman)
- Mr. A. P. Weerasekera (Managing Director)
- Mr. W. A. P. Perera
- Mr. D. S. K. Amarasekara
- Mrs. S. Wickramasinghe
- Mr. R. K. A. Ranaweera
- Dr. (Mrs.) A. D. N. de Zoysa
- Mrs. V. G. S. S. Kotakadeniya -
(Alt. Director to Mr. D.S.K. Amarasekera)
- Mr. A. G. Weerasinghe (ceased to be a Director w.e.f. 28th June 2019)
- Mr. H. P. J. De Silva (ceased to be a Director w.e.f. 28th June 2019)

The detailed profiles of the Board of Directors of the Company are given on pages 14 to 15 of this Report.

Rotation / Re-Election of Directors

- Mr. D. N. N. Lokuge retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
- Mr. A. P. Weerasekera retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.

- III. Dr. (Mrs.) A. D. N. De Zoysa who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer herself for re-election.
- IV. Mr. R. K. A. Ranaweera who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer himself for re-election.

Independent Directors

During the year the following Directors were acting as the Independent Directors of the Company;

- Mr. R. K. A. Ranaweera
- Dr. (Mrs.) A. D. N. de Zoysa
- Mrs. S. Wickramasinghe

Directors Interest Register

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained during the accounting period under review.

Directors' Interest in Contracts

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in note 29 to the Financial Statements.

Directors' Interest in Shares

Name of The Director	As At 31st March 2020		As At 31st March 2019	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. N. G. R. Karunaratne	8,229,310	Nil	8,229,310	Nil
Mr. D. N. N. Lokuge	3,125,000	Nil	3,125,000	Nil
Mr. A. P. Weerasekera	7,295,800	5,824,550	7,243,310	5,824,550
Mr. W. A. P. Perera	3,120,000	Nil	3,120,000	Nil
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mr. R. K. Athula Ranaweera	Nil	Nil	Nil	Nil
Dr. (Mrs.) A. D. N. de Zoysa	Nil	Nil	Nil	Nil
Mrs. S. Wickramasinghe	Nil	Nil	Nil	Nil

Directors Fees and Remuneration

The amount of the Directors fees and Remuneration paid during the year is given in note No. 10 to the Financial Statements on page 79.

Related Party Transactions

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in note 29 to the Financial Statements.

Shareholders

The number of registered shareholders' of the Company as at 31st March, 2020 was 988. The distribution and analysis of shareholdings were as follows:

Voting

Number of Shares	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	631	138,041	0.04%	590	135,479	0.04%
1001-10000	221	858,517	0.28%	221	890,281	0.29%
10001-100000	99	3,173,337	1.03%	99	3,161,177	1.03%
100001-1000000	23	8,263,465	2.69%	21	7,248,119	2.36%
1000001- & Over	14	295,092,950	95.96%	15	296,091,254	96.28%
Total	988	307,526,310	100%	946	307,526,310	100%

Non-Voting

Number of Shares	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1	1,000	0.01%	1	1,000	0.01%
1000001- & Over	2	17,472,690	99.99%	2	17,472,690	99.99%
Total	3	17,473,690	100%	3	17,473,690	100%

Resident / Non-Resident (Voting)

Resident/Non-Resident	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	983	307,517,960	99.99%	941	307,517,960	99.99%
Non-Resident	5	8,350	0.01%	5	8,350	0.01%
Total	988	307,526,310	100%	946	307,526,310	100%

Resident / Non-Resident (Non-Voting)

Resident/Non-Resident	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	3	17,473,690	100%	3	17,473,690	100%
Non-Resident	-	-	-	-	-	-
Total	3	17,473,690	100%	3	17,473,690	100%

Individual/Institution (Voting)

Resident/Non-Resident	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	943	34,153,980	11.11%	903	34,243,122	11.13%
Non-Resident	45	273,372,330	88.89%	43	273,283,188	88.87%
Total	988	307,526,310	100%	946	307,526,310	100%

Individual / Institution (Non-Voting)

Resident/Non-Resident	As At 31st March 2020			As At 31st March 2019		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	2	5,825,550	33.33%	2	5,825,550	33.33%
Non-Resident	1	11,648,140	66.67%	1	11,648,140	66.67%
Total	3	17,473,690	100%	3	17,473,690	100%

List of 20 Major Shareholders (Voting)

Names of shareholders	As at 31/03/2020	
	Number of shares	Holding %
Sierra Holdings (Private) Ltd.	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%
Sierra Construction (Private) Ltd.	37,025,290	12.04%
P & K Investments (Private) Ltd.	20,500,000	6.67%
Sampath Bank PLC/Dr.T.Senthilvel	10,627,982	3.46%
Mr. N. G R. Karunaratne	8,229,310	2.68%
Mr. A. P. Weerasekera	7,295,800	2.37%
FLMC Plantations ((Private) Ltd.	3,150,000	1.02%
Mr. D. N. N. Lokuge	3,125,000	1.02%
Mr. W. A. P. Perera	3,120,000	1.01%
Mrs. A. C. P. Irugalbandara -Joint with Mrs. J M. A. Irugalbandara	1,500,000	0.49%
Mr. S. Karunaratna	1,250,000	0.41%
Sierra Engineering And Construction (Private) Limited	1,021,607	0.33%
Mr. M. S. S. Ghazaly	1,000,000	0.33%
Miss. G. S. M. Irugalbandara	1,000,000	0.33%
Mrs. A. C. P. Irugalbandara	1,000,000	0.33%
People's Leasing & Finance PLC/Mr. M. I. Samsudeen	921,713	0.30%
Ghazaly Group International (Private) Ltd.	530,000	0.17%
Shari Investments (Private) Limited	518,200	0.17%
Total	300,062,863	97.57%

List of 3 Major Shareholders (Non-Voting)

Resident/Non Resident	As At 31st March 2020	
	Share Holding	Percentage %
Sierra Holdings (Private) Ltd.	11,648,140	66.66%
Mr. A.P Weerasekera	5,824,550	33.33%
Mr. A.B Weerasekera	1,000	0.01%

Public Shareholding

The percentage of public shareholding as at 31st of March 2020 was Voting- 16.08% and Non-Voting - 0.01%

Float Adjusted Market Capitalisation

The float adjusted market capitalisation as at 31st March 2020 is Rs. 162.11 Mn and minimum public holding requirement is compliant with option-2 as per Sec 7.13.1 (b) of the Listing Rule of CSE.

Annual Report

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 08 July, 2020. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

Annual General Meeting

The Annual General Meeting will be held on 13th August 2020 at 10:00 a.m. at the Marcopolo Corporate Lounge, Excel World, 338, T.B. Jaya Mawatha, Colombo 10. The notice of Annual General Meeting is given on page no 118

On behalf of the Board of Directors.



Mr. D. N. N Lokuge
Deputy Chairman



Mr. A. P. Weerasekera
Managing Director



P. R. Secretarial Services (Private) Ltd
Company Secretary
Colombo

July 08, 2020

AUDIT COMMITTEE REPORT

Purpose of the Committee

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the External auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

Composition

The committee appointed by the Board of Directors consists of three independent non-executive Directors. The committee is headed by Mr. R.K. Athula Ranaweera who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Dr. (Mrs) A.D.N. de Zoysa who represents the committee hold a Ph.D. Degree in Agricultural Economics and committee member Ms. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka.

The Chairman and Managing Director attend to the Committee meeting by invitation

Meetings

There were four meetings of the committee during the year under review; each meeting's attendance is stated in the table on page 28 of this report.

Financial Reporting

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is responsible for reviewing the internal audit

function of the company and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

External Audit

The committee has recommended to the Board of Directors that Messer's KPMG to be appointed as the auditors of the company for the year ending 31st March 2021 subject to the approval of the shareholders at the Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



R. K. Athula Ranaweera
Chairman – Audit Committee
Colombo.

July 08, 2020

INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
Internet : www.kpmg.com/lk

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF AGSTAR PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiary ('the Group'), which comprise the statement of financial position as at March 31, 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements comprising a summary of significant accounting policies and other explanatory information set out on pages 54 to 116 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2020, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter – Restatement of comparative balances

We draw attention to Note 34.2 to the financial statements, which describes the error correction of the presentation of the deferred tax impact on the cumulative revaluation gain on land in the comparative financial statement and disclosed as comparatives in this financial statements. Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of freehold land and building	
Risk description	Our response
The Group's assessment of fair value of freehold land and building is based on valuations performed by a qualified independent property valuer in accordance with recognized industry standards. We identified valuation of freehold land and building as a key audit matter because the determination of the fair values involves significant judgment and estimation, particularly in determining the underlying assumptions including the impact of COVID-19 pandemic. The valuations are sensitive to the key assumptions applied. Refer note 15 to the financial statements.	Our audit procedures included, - Assessing the objectivity, independence, competence and qualifications of the external valuer; - Assessing the key assumptions applied and conclusions made in deriving the fair value of the properties and comparing the fair value of properties with evidence of current market values. In addition, assessing the valuation methodologies with reference to recognized industry standards; - Assessing the probable impact of COVID-19 pandemic on operations in assessing the fair valuation of the freehold land and buildings; - Assessing the adequacy of disclosures made in the financial statements in relation to fair value of freehold land and building.

Impairment assessment on the Group's goodwill	
Risk description	Our response
Management performed an impairment assessment of the goodwill recorded in the consolidated financial statements as at March 31, 2020. In performing such impairment assessment, the management compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which goodwill had been allocated, and had a net asset position lesser than the investment made by the Company) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating growth rates, discount rates and future cash flows, inclusive of the impact of COVID-19 pandemic, which can be inherently judgmental. We identified the assessment of potential impairment of goodwill as a key audit matter because the year-end goodwill impairment assessment performed by management contain judgmental assumptions which could be subject to management bias. Refer note 16.3 to the financial statements.	Our audit procedures included; - Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based; - Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models; - Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates; - Assessing the impact of COVID-19 pandemic on the assessment of impairment of goodwill; - Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjective and key assumptions.
Classification and valuation of non-current assets and liabilities held for sale	
Risk description	Our response
The classification and valuation of net assets of Mahaweli Agro Trading (Private) Limited, AgStar Grains (Private) Limited and assets of AgStar PLC recorded as held for sale at the reporting date is a key area of management judgment. In addition, the classification of these businesses as discontinued operations must be carefully considered in line with the relevant accounting standards. Moreover, the management is required to measure the assets held for sale at the lower of carrying amount and fair value less costs to sell. Inaccurate management estimates made in the fair value less costs to sell, which includes areas of judgement such as the impact of COVID-19 pandemic, could result in a significant impact on the value of the assets held for sale as at the reporting date and related impairment loss in the statements of comprehensive income. Refer note 12 to the financial statements.	Our audit procedures included: - Challenging the management's judgment on the classification and valuation of assets held for sale through understanding the status of the sales process and verifying the valuation of the assets as determined by the management; - Assessing the classification of assets held for sale as discontinued operations against the relevant criteria in the accounting standard; - Assessing the impact of COVID-19 in the fair valuation of assets and liabilities classified as held for sale; - Assessing the adequacy of financial statements disclosure in relation to assets held for sale.

Recoverability of Subsidy Receivable	
Risk description	Our response
The subsidy receivable comprises government subsidies given on fertilizer operations. Specific conditions are generally attached to the subsidies which are subject to formal evaluation and approval procedures. As at March 31, 2020 the value of subsidy receivable outstanding in AgStar PLC was Rs. 2.8 Bn. In addition, as at the reporting date, 56% of the total assets of the Company consisted of Subsidy receivables. Management evaluates, on a periodic basis, whether the Company has complied with the relevant conditions attached and whether reasonable assurance has been obtained that subsidies will be received, in order to determine the timing and amount of subsidies to be recognized. We identified the recoverability of subsidy receivable as a key audit matter because of the significance of the value to the financial statements and the judgements involved in determining the recoverability of the asset. Refer note 20.2 to the financial statements.	• Challenging the management's judgment on the recoverability of the outstanding balance as at the reporting date; • Assessing the classification of subsidies with reference to the terms of the underlying documentation; • Verifying the confirmations of the calculations received by the Company on the balances of subsidy receivables; • Verifying settlements received by the Company during the year and subsequent to the financial statement date; • Inspecting documentation relating to the subsidies given by government authorities and identifying the specific conditions attached to the subsidies and respective application and approval procedures.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial

statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are

based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1224.

KPMG

CHARTERED ACCOUNTANTS
Colombo, Sri Lanka

July 08, 2020

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA
T.J.S. Rajakarier FCA
Ms. S.M.B. Jayasekara ACA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

P.Y.S. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyrathne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel ACA

C.P. Jayatilake FCA
Ms. S. Joseph FCA
S.T.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. P.M.K. Sumanasekara FCA

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Notes	Group		Company	
		2020	2019 (Restated)	2020	2019 (Restated)
Continuing operations					
Revenue	6	1,734,841,164	2,478,164,518	1,267,997,542	2,097,048,737
Cost of sales		(1,011,580,404)	(1,786,088,437)	(726,324,804)	(1,578,243,940)
Gross profit		723,260,760	692,076,081	541,672,738	518,804,797
Other income	7	31,995,310	57,846,002	83,171,408	101,892,924
Selling and distribution expenses		(117,723,804)	(147,923,166)	(84,173,133)	(107,661,381)
Administrative expenses		(286,324,978)	(287,282,354)	(218,131,842)	(222,453,551)
Other expenses	8	(91,384,606)	-	(8,041,557)	(10,043,000)
Operating profit		259,822,682	314,716,563	314,497,614	280,539,789
Finance income		50,707,484	96,623,836	42,121,160	81,436,575
Finance costs		(105,034,479)	(90,316,652)	(95,386,122)	(83,352,820)
Net finance income/(costs)	9	(54,326,995)	6,307,184	(53,264,962)	(1,916,245)
Profit before taxation	10	205,495,687	321,023,747	261,232,652	278,623,544
Income tax expense	11	(63,977,014)	(75,805,475)	(67,912,820)	(67,377,383)
Profit from continuing operations		141,518,673	245,218,272	193,319,832	211,246,161
Discontinued operations					
Loss from discontinued operations, net of tax	12	(3,529,688)	(18,849,648)	-	-
Profit for the year		137,988,985	226,368,624	193,319,832	211,246,161
Other comprehensive income					
Items that will never be reclassified to profit or loss					
Revaluation of property, plant and equipment	15	91,483,579	80,500,000	34,013,056	42,300,000
Deferred tax impact on revaluation of assets	26.2	(25,615,403)	(22,540,000)	(9,523,656)	(11,844,000)
Actuarial loss on defined benefit obligations	24	(205,461)	(453,234)	(184,093)	(486,666)
Deferred tax impact on actuarial loss	26.1/26.2	57,529	126,905	51,546	136,266
Other comprehensive income, net of tax		65,720,244	57,633,671	24,356,853	30,105,600
Total comprehensive income		203,709,229	284,002,295	217,676,685	241,351,761
Profit attributable to:					
Owners of the Company		137,988,985	226,368,624	193,319,832	211,246,161
Non-controlling interests		-	-	-	-
		137,988,985	226,368,624	193,319,832	211,246,161
Total comprehensive income attributable to:					
Owners of the Company		203,709,229	284,002,295	217,676,685	241,351,761
Non-controlling interests		-	-	-	-
		203,709,229	284,002,295	217,676,685	241,351,761
Earnings per share					
Basic earnings per share (Rs.)	13	0.42	0.70	0.59	0.65

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

(All amounts in Sri Lankan Rupees)

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Assets					
Non-current assets					
Property, plant and equipment	15	1,650,868,826	1,527,366,840	398,779,881	390,883,193
Right of use assets	17.1	3,520,826	-	17,888,878	-
Intangible assets	16	62,407,861	56,625,992	421,042	-
Investments in subsidiaries	18	-	-	491,579,088	492,829,088
Deferred tax assets	26.1	13,666,218	1,253,619	-	-
Total non-current assets		1,730,463,731	1,585,246,451	908,668,889	883,712,281
Current assets					
Inventories	19	362,687,588	532,141,736	207,237,503	308,654,965
Trade and other receivables	20	3,211,617,309	2,458,654,805	3,057,021,564	2,406,632,680
Amounts due from related companies	21	-	-	605,074,067	529,978,383
Current tax receivable		7,903,430	9,947,561	7,581,839	7,581,839
Cash and cash equivalents	22	83,636,666	249,973,953	45,412,064	114,486,133
		3,665,844,993	3,250,718,055	3,922,327,037	3,367,334,000
Assets held for sale	12	513,045,769	514,423,420	260,832,550	260,832,550
Total current assets		4,178,890,762	3,765,141,475	4,183,159,587	3,628,166,550
Total assets		5,909,354,493	5,350,387,926	5,091,828,476	4,511,878,831
Equity					
Stated capital	23	1,204,093,678	1,204,093,678	1,204,093,678	1,204,093,678
Revaluation reserve		674,451,390	661,142,884	196,713,864	172,224,464
Retained earnings		1,146,113,005	1,020,712,282	1,123,794,907	995,607,622
Equity attributable to the owners of the Company		3,024,658,073	2,885,948,844	2,524,602,449	2,371,925,764
Non-controlling interests		-	-	-	-
Total equity		3,024,658,073	2,885,948,844	2,524,602,449	2,371,925,764
Liabilities					
Non-current liabilities					
Employee benefits	24	29,822,983	30,498,640	29,685,028	30,418,101
Deferred income	25	2,150,534	3,644,966	2,150,534	3,644,966
Deferred tax liabilities	26.2	345,386,849	254,108,020	120,522,229	43,137,299
Lease liabilities	17.2	2,005,872	-	2,005,872	-
Total non-current liabilities		379,366,238	288,251,626	154,363,663	77,200,366
Current liabilities					
Trade and other payables	27	990,308,130	1,174,529,798	953,025,733	1,100,660,466
Loans and borrowings	28	1,474,586,446	983,304,092	1,434,594,484	953,044,879
Amounts due to related companies	21	-	-	-	3,158,817
Lease liabilities	17.2	782,545	-	219,305	-
Current tax payable		5,541,617	184,332	-	-
Bank overdrafts	22	31,890,131	17,778,823	25,022,842	5,888,539
		2,503,108,869	2,175,797,045	2,412,862,364	2,062,752,701
Liabilities held for sale	12	2,221,313	390,411	-	-
Total current liabilities		2,505,330,182	2,176,187,456	2,412,862,364	2,062,752,701
Total liabilities		2,884,696,420	2,464,439,082	2,567,226,027	2,139,953,067
Total equity and liabilities		5,909,354,493	5,350,387,926	5,091,828,476	4,511,878,831

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

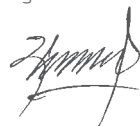
I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.



Mr. M. R. M. Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;



Mr. D. N. N. Lokuge
Deputy Chairman



Mr. A. P. Weerasekera
Managing Director

July 08, 2020

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated capital	Revaluation reserve	Retained earnings	Total
Balance as at 01st April 2018, as previously reported		1,204,093,678	166,427,570	817,211,861	2,187,733,109
Impact of correction of error	34.2	-	(24,659,106)	-	(24,659,106)
Balance as at 01st April 2018 (Restated)		1,204,093,678	141,768,464	817,211,861	2,163,074,003
Profit for the year		-	-	211,246,161	211,246,161
Other comprehensive income		-	30,456,000	(350,400)	30,105,600
Total comprehensive income		-	30,456,000	210,895,761	241,351,761
Transactions with owners of the company					-
Dividend - 2017/18	14	-	-	(32,500,000)	(32,500,000)
Balance as at 31st March 2019		1,204,093,678	172,224,464	995,607,622	2,371,925,764
Profit for the year				193,319,832	193,319,832
Other comprehensive income			24,489,400	(132,547)	24,356,853
Total comprehensive income		-	24,489,400	193,187,285	217,676,685
Transactions with owners of the company					-
Dividend - 2018/19	14	-	-	(65,000,000)	(65,000,000)
Balance as at 31st March 2020		1,204,093,678	196,713,864	1,123,794,907	2,524,602,449

Revaluation reserve relates to the revaluation of land and buildings.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated capital	Revaluation reserve	Retained earnings	Total	Non controlling interests	Total equity
Balance as at 01st April 2018, as previously reported		1,204,093,678	759,505,472	827,169,987	2,790,769,137	-	2,790,769,137
Impact of correction of error	34.2	-	(156,322,588)	-	(156,322,588)	-	(156,322,588)
Balance as at 01st April 2018 (Restated)		1,204,093,678	603,182,884	827,169,987	2,634,446,549	-	2,634,446,549
Profit for the year		-	-	226,368,624	226,368,624	-	226,368,624
Other comprehensive income		-	57,960,000	(326,329)	57,633,671	-	57,633,671
Total comprehensive income		-	57,960,000	226,042,295	284,002,295	-	284,002,295
Transactions with owners of the company							
Dividend - 2017/18	14	-	-	(32,500,000)	(32,500,000)	-	(32,500,000)
Balance as at 31st March 2019		1,204,093,678	661,142,884	1,020,712,282	2,885,948,844	-	2,885,948,844
Profit for the year		-	-	137,988,985	137,988,985	-	137,988,985
Other comprehensive income		-	65,868,176	(147,932)	65,720,244	-	65,720,244
Total comprehensive income		-	65,868,176	137,841,053	203,709,229	-	203,709,229
Transfer of revaluation reserve on buildings demolished	30	-	(52,559,670)	52,559,670	-	-	-
Transactions with owners of the company							
Dividend - 2018/19	14	-	-	(65,000,000)	(65,000,000)	-	(65,000,000)
Balance as at 31st March 2020		1,204,093,678	674,451,390	1,146,113,005	3,024,658,073	-	3,024,658,073

Revaluation reserve relates to the revaluation of land and buildings.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOWS

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Cash flow from operating activities					
Profit before tax from continuing operations		205,495,687	321,023,747	261,232,652	278,623,544
Profit/(loss) before tax from discontinued operations		(1,407,640)	(18,331,934)	-	-
Adjustment for:					
Depreciation	15	50,550,967	49,526,754	33,373,903	30,343,271
Amortization on intangible assets	16	1,064,470	400,000	8,958	-
Amortization on right-of-use asset	17.1	1,075,440	-	48,059,492	-
Interest income	9	(10,631,990)	(11,648,663)	(7,685,036)	(6,953,470)
Interest expenses	9/12.1	105,297,113	90,316,667	95,386,122	83,352,820
(Reversal)/provision of impairment of investments in subsidiaries	7/8	-	-	1,250,000	(16,600,000)
Provision for impairment of amount due from subsidiaries	21	-	-	-	10,043,000
Impairment of property, plant and equipments	12.1	1,900,000	13,953,000	-	-
Trade debtors write off	10	34,385,039	26,790,096	29,812,168	26,614,591
Buildings demolished	8	80,618,049	-	-	-
Gain on disposal of property plant and equipment	7	-	(4,873,249)	-	(1,260,000)
Amortisation of deferred income	25	(1,494,432)	(1,494,432)	(1,494,432)	(1,494,432)
Dividend income	7	-	-	(64,999,995)	(40,420,000)
Subsidy write off	20.2	9,123,630	-	9,123,630	-
Impairment/(reversal) of other receivables	20.1/20.4	3,975,000	(33,093,308)	-	(33,093,308)
Impairment of trade receivables	20.3/12.1	(16,092,563)	21,072,268	(19,426,037)	10,482,463
Impairment loss/(reversal) on inventory	19.1	1,048,466	871,637	-	-
Provision for retirement gratuity	24	6,548,517	5,732,340	6,512,469	5,705,904
Operating profit before working capital changes		471,455,753	460,244,923	391,153,894	345,344,383
Changes in:					
Decrease in inventories		168,405,682	1,202,336,505	101,417,462	1,339,909,004
Decrease in trade and other receivables		109,027,035	458,659,088	164,361,462	448,987,369
Increase in subsidy receivable		(895,317,610)	(1,977,238,533)	(895,317,610)	(1,977,238,533)
Decrease in amounts due from related companies		-	-	106,114,316	2,260,965
Decrease in trade and other payables		(186,957,901)	(848,426,981)	(150,123,506)	(901,971,439)
Increase/(decrease) in amounts due to related companies		-	-	(3,158,817)	3,158,817
Cash used in operating activities		(333,387,041)	(704,424,998)	(285,552,799)	(739,549,434)
Interest expense paid		(101,943,436)	(90,316,667)	(92,620,542)	(83,352,820)
Income tax paid		(2,294,000)	(104,509,278)	-	(97,859,156)
Employee benefit paid	24	(7,429,635)	(1,501,350)	(7,429,635)	(1,501,350)
Net cash flow used in operating activities		(445,054,112)	(900,752,293)	(385,602,976)	(922,262,760)
Cash flows from investing activities					
Interest income received		11,608,668	6,984,428	4,742,539	6,311,006
Dividend income received		-	-	64,999,995	40,420,000
Proceeds from disposal of property, plant and equipment		-	5,460,000	-	1,260,000
Fund transfers to related company		-	-	(181,210,000)	-
Acquisition of property, plant and equipment	15	(8,252,589)	(57,768,513)	(6,532,043)	(56,326,213)
Addition to work in progress	15	(154,934,834)	(20,922,359)	(725,492)	(2,649,826)
Acquisition of intangible assets	16	(6,846,339)	-	(430,000)	-
Net cash (used in) / generated from investing activities		(158,425,094)	(66,246,444)	(119,155,001)	(10,985,033)
Cash flows from financing activities					
Proceeds from short term borrowings	28.2	2,865,761,784	3,591,416,787	2,540,996,447	3,374,636,638
Repayment of short term borrowings	28.2	(2,374,479,430)	(2,624,749,800)	(2,059,446,842)	(2,430,702,097)
Repayment of lease liabilities	17.2/12.2.2	(2,440,000)	-	-	-
Dividend paid	14	(65,000,000)	(32,500,000)	(65,000,000)	(32,500,000)
Net cash generated from financing activities		423,842,354	934,166,987	416,549,605	911,434,541
Net cash decrease in cash and cash equivalents		(179,636,852)	(32,831,750)	(88,208,372)	(21,813,252)
Cash and cash equivalents at the beginning of the year		232,462,316	265,294,066	108,597,594	130,410,846
Cash and cash equivalents at 31st March (Note 22)		52,825,464	232,462,316	20,389,222	108,597,594

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate information

1.1. Reporting entity

AgStar PLC, (“the Company”) is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 09, Bawa Place, Colombo 8.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2020 comprise the financial statements of Company and its subsidiaries (together referred to as the “Group” and individually as “Group entities”).

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending and marketing of fertilizer products.
- AgStar Cropcare (Private) Ltd – Business of importing formulating and marketing of chemicals, fertilizers and specialty products.
- AgStar Seeds (Private) Ltd – Business of producing, trading and marketing of seeds and planting materials.
- AgStar Grains (Private) Ltd – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Private) Ltd (previously named as Mahaweli Rice Processing Industries (Private) Ltd) – Company was carrying out business of procurement, processing and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertilizer.

- AgStar Properties (Private) Ltd – Set up for property development and construction of warehousing and storage facilities.
- AgStar Exports (Private) Ltd – Business of exporting agricultural based products and marketing of consumer goods.
- Prith Seeds (Private) Ltd - Business of importing, producing, trading and marketing of seeds and planting materials.

In the opinion of the Board of Directors the parent company undertaking and controlling party is Sierra Holdings (Private) Limited

2. Basis of preparation

2.1. Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/ LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

This is the first set of Group's annual financial statements in which SLFRS 16 leases has been applied. The related changes to significant accounting policies are described in note 3.

2.2. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility

for the Financial Statements, as set out in the “Annual Report of the Board of Directors”, “Statement of Directors’ Responsibilities for Financial Statements” and the “certification on the Statement of Financial Position”.

2.3. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2020 were approved and authorised for issue by the Board of Directors on the 08th July 2020. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer page 54;
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 55;
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 56 to 57;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows. Refer page 58;
- Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 59 to 116.

2.4. Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except for land and buildings and investment property measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5. Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading;

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily

for the purpose of trading and is due to be settled within twelve months after the reporting period;

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7. Use of materiality and offsetting

2.7.1 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.7.2 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset

the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies of the Company

2.8. Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

Estimation uncertainty in preparation of financial statements

The ongoing COVID-19 pandemic has increased the estimation uncertainty in the preparation of these Financial Statements. The estimation uncertainty is associated with:

- the extent and duration of the disruption to businesses arising from the actions by governments, businesses and consumers to contain the spread of the virus;
- the extent and duration of the expected economic downturn (and forecasts for key economic factors including GDP and inflation). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, impact of unemployment and decline in consumer discretionary spending.
- the effectiveness of government and The Central Bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

2.8.1 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

2.8.2 Impairment of non-financial assets

At each reporting date the management assesses, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the management estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

2.8.3 Useful lives of depreciable assets

Management reviews its estimation of the useful lives of depreciable assets at each reporting date based on the expected utility of the assets. Uncertainties in these estimates relate to technical obsolescence that may change the useful life of certain property, plant and equipment.

2.8.4 Business combinations

Management uses valuation techniques in determining the fair values of the various elements of a business combination. The fair value of contingent consideration is dependent on the outcome of many variables that affect future profitability.

2.8.5 Defined benefit obligation

Management's estimate of the defined benefit obligation is based on a number of critical underlying assumptions such as standard rates of inflation, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the defined benefit obligation amount and the annual defined benefit expense.

2.8.6 Fair value of financial instruments

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on

market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

2.8.7 Recognition of deferred tax assets

Management applies significant judgment on the extent to which deferred tax assets can be recognised based on an assessment of the probability of the Group's future taxable income against which the deferred tax assets can be utilised. In addition, significant judgment is required in assessing the impact of any legal or economic limits or uncertainties in various future tax jurisdictions.

2.9 Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements. Furthermore, when determining the basis of preparing the financial statements for the year ended 31 March 2020, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the group companies and the appropriateness of the use of the going concern basis. Refer note 33.

3. Summary of significant accounting policies

Changes in significant policies

The accounting policies set out below have been applied consistently for all periods presented in the financial statements by the Group and the Company except for SLFRS 16 related policies.

SLFRS 16 - Leases

The Group applied SLFRS 16 with a date of initial application of 1 January 2019. As a result, the Group has changed its accounting policy for lease contracts as detailed below.

The Group applied SLFRS 16 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at 1 January 2019. The details of the changes in the accounting policies are disclosed below.

A. Definition of a lease

Previously, the Group determined at contract inception whether an arrangement is or contains a lease under IFRIC 4. Under SLFRS 16, the Group reassesses whether a contract is or contains a lease based on the definition of a lease, as explained in significant accounting policy.

On transition to SLFRS 16, the Group elected to apply the practical expedient to exempt the assessment of which transactions are leases. It applied SLFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified as leases under LKAS 17 and IFRIC 4 were not reassessed for whether there is a lease.

Therefore, the definition of a lease under SLFRS 16 was applied only to contracts entered into or changed on or after January 01, 2019.

B. As a lessee

As a lessee, the Group previously classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all of the risks and rewards incidental to ownership of the underlying asset to the Company. Under SLFRS 16, the Group recognises right-of-use assets and lease liabilities for leases – i.e. these leases are on-balance sheet.

The Group decided to apply recognition exemptions to short-term lease assets. For leases of other assets, which were classified as operating under LKAS 17, the Group recognises right-of-use assets and lease liabilities.

Leases classified as operating leases under LKAS 17

At transition, lease liabilities were measured at present value of the remaining lease payments discounted at the Company's incremental borrowing rate at 1 January 2019. Right-of-use assets are measured at either;

- Their carrying amount as if SLFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application; or
- An amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments.

- The Group used the following practical expedients when applying SLFRS 16 to leases previously classified as operating leases under LKAS 17.
- Applied a single discount rate to a portfolio of leases with similar characteristics.
- Adjusted the right-of-use assets by the amount of LAS 27 onerous contracts provision immediately before the date of initial application, as an alternative to an impairment review.
- Applied the exemption not to recognise right-of-use assets and liabilities for lease with less than 12 months of lease term.
- Excluded initial direct costs from measuring the right-of-use asset at the date of initial application.
- Used hindsight when determining the lease term if the contract contains options to extend or terminate the lease.

Leases previously classified as finance leases under LKAS 17

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability as at 1 January 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

Impact on financial statements

On transition to SLFRS 16, the Group recognized additional right-of-use assets and additional lease liability. The impact on transition is summarized below.

	01st January 2019 Rs.
Right- Of-Use assets	
Continued operations	1,948,370
Discontinued operations	1,951,109
	3,899,479
Lease Liability	
Continued operations	1,948,370
Discontinued operations	1,951,109
	3,899,479

When measuring lease liabilities for leases that were classified as operating leases, The Group discounted lease payments using its incremental borrowing rate at 1st April 2019.

3.1 Basis of consolidation

3.1.1 Business combinations and goodwill

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.3 Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling

interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading “Non-controlling interests” in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.4 Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as a FVTOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Reporting date

All the Group's subsidiaries, has same reporting period as the parent Company, which is 31st March.

3.1.6 Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties

3.1.7 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currencies

3.2.1. Foreign currency transactions

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the reporting currency at the exchange rate that prevailed at the date the fair value was determined.

Foreign currency differences arising on retranslation are recognised in the income statement.

Foreign currency gains and losses are reported on a net basis in the income statement.

3.3 Financial instruments

3.3.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and subsequent measurement

3.3.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (FOCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

This assessment is referred to as the SPPI test and it is performed at an instrument level. The Group's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents

A debt investment is measured at FVOCI if it meets both of the following conditions:

- It is held within a business model whose objective is achieved by both

collecting contractual cash flows and selling financial assets; and

- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by investment basis. All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(b) Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of

the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

(c) Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period

of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable

additional compensation for early termination) is treated as consistent with this criterion if the fair value

of the prepayment feature is insignificant at initial recognition.

(d) Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVTOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVTOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

(e) Impairment

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before

taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

ECL are discounted at the effective interest rate of the financial asset.

(f) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the trade receivables.

(g) Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent

that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.3.3 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4 Assets held for sale and discontinued operations

(i) Assets held for sale

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets

once classified as held for sale are not depreciated or amortised.

(ii) Discontinued operations

A discontinued operation is a component of the Group's business, the operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale.

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5 Property, plant & equipment

3.5.1 Recognition and measurement

Items of property, plant and equipment other than land and buildings, are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use.

The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition for its intended use, and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located. All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land and building owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period the Group will revalue such land and buildings every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset

is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	05-10 years
Motor vehicles	5 years
Furniture and fittings	05-10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Pallets	3-5 years
Factory equipments	10 years

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant and equipment.

3.7 Leases

The Group has applied SLFRS 16 using modified retrospective approach and therefore the comparative information has not been restated and continue to be reported under LKAS 17 and IFRIC 14.

The details of the accounting policies under LKAS 17 and IFRIC 4 are disclosed separately.

Policy applicable from April 01, 2019

At inception of a contract, the Group assesses whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16.

The Policy applied to contracts entered into, on or after January 01, 2019.

As a lessee

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payment made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced

by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rate from various external financing sources and make certain adjustment to reflect the term of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following;

- Fixed payments, including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments from a change in an index or a rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'property, plant, and equipment and lease liabilities in loans and borrowings in the statement of financial position.

Policy applicable before 1 April 2019

For contracts entered before 1 January 2019, the Group determines whether the arrangement was or contained a lease based on the assessment of whether;

- Fulfillment of the arrangement was dependent on the use of a specific asset or assets; and
- The arrangement had conveyed a right to use the asset. An arrangement conveyed the right to use the asset if one of the following was met;
- The purchaser had the ability to or right to operate the asset while

obtaining or controlling more than an insignificant amount of the output;

- The purchaser had the ability or right to control physical access to the asset while obtaining or controlling more than an insignificant amount of the output; or
- Facts and circumstances indicated that it was remote that other parties would take more than an insignificant amount of the output, and the price per unit was neither fixed per unit of output nor equal to the current market price per unit of output.

As a lessee

In the comparative period, as a lessee the Group classified leases that transfer substantially all of the risks and rewards of ownership as a finance lease. When this was the case, the leased assets were measured initially at an amount equal to the lower of their fair value and the present value of the minimum lease payments. Minimum lease payments were the payments over the lease term that the lessee was required to make, excluding any contingent rent. Subsequently, the assets were accounted for in accordance with the accounting policy applicable to that asset.

Assets held under other leases were classified as operating lease and were not recognised in the Company's statement of financial position. Payments made under operating leases were recognised in profit or loss on a straight-line basis over the lease term of the lease. Lease incentives received were recognised as an integral part of the total lease expense, over the term of the lease.

3.8 Intangible assets

3.8.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognised by the Group

3.8.4.1 Brand distribution agency

During the year ended 31st March 2015, AgStar Seeds (Private) Ltd acquired GSN SEMENCES, a French breeder, producer, maintainer and

seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West of France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole of Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co-branding (GSN) to be able to be able to write Seram Agro name on label and to include its logo. The Group / Company amortise trademark over 5 years.

3.8.4.2 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (Note 16.3)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.3 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.8.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 Amortisation

Amortization is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Brand distribution agency 10 years

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.10 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that

reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an

undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.2.2 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value

of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans immediately in the other comprehensive income as they occur.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14 Revenue

a) Sale of goods

The Group is engaged in the business of importing, blending and marketing of fertilizer products, formulating and marketing of chemicals, producing, trading and marketing of seeds, planting materials and other grains and in exporting agricultural based products.

The Group shall recognise revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) Interest Income

Interest income is recognized on a time-proportion basis using the effective interest method.

c) Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared.

d) Rental income

Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability. The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) Others

Other income is recognized on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Group of similar transactions which are not material, are aggregated, reported and presented on a net basis.

3.15 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 Finance income /(expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss, and gains on the disposal of interest generating investments whether classified under fair value through profit or loss.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income, and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 Income tax expense

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or

statement of changes in equity, in which case it is recognised directly in the respective statements.

3.18.1 Current Tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.18 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.19 Statement of Cash flows

The statement of cash flows is reported based on the “indirect method”.

3.20 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.21 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in note 30 and 31 to the financial statements.

3.22 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed and adjusted where applicable.

4. New Accounting Standards Issued But Not Yet Effective

4.1 Amendments to Existing Accounting Standards issued but not yet effective

Several amendments to Accounting Standards are effective for annual financial periods beginning on or after January 1, 2020, and earlier application is permitted. However, the Company has not early adopted the following amendments to Accounting Standards in preparing these Financial Statements as they are not expected to have a significant impact on the Group's Financial Statements.

4.1.1 Amendments to LKAS 1 and LKAS 8: Definition of Material

In November 2018, the CA Sri Lanka issued amendments to LKAS 1 and Sri Lanka Accounting Standard – LKAS 8 on “Accounting Policies Changes in Accounting Estimates and Errors” to align the definition of ‘material’ across the standards and to clarify certain aspects of the term ‘definition’. The new definition states that, ‘Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose Financial Statements make on the basis of those Financial Statements, which provide financial information about a specific reporting entity.’ The Group shall apply those

amendments prospectively for annual financial periods beginning on or after January 1, 2020.

4.1.2 Amendments to the conceptual framework for financial reporting

CA Sri Lanka has issued a revised Conceptual Framework which will be used in standard setting decisions with immediate effect. Key changes include:

- increasing the prominence of stewardship in the objective of financial reporting - reinstating prudence as a component of neutrality
- defining a reporting entity, which may be a legal entity, or a portion of an entity y revising the definitions of an asset and a liability
- removing the probability threshold for recognition and adding guidance on derecognition.
- adding guidance on different measurement basis, and
- stating that profit or loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements.

No changes will be made to any of the current Accounting Standards. However, if the Group rely on the framework in determining certain accounting policies for transactions, events or conditions that are not otherwise dealt with under the accounting standards will need to apply the revised framework from January 1, 2020.

The Group will need to consider whether those accounting policies are still appropriate under the revised Framework.

(All amounts in Sri Lankan Rupees)

5 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions. Trading - Items which are directly imported and sold without further processing are categorized under this. Processing - This segment includes the items which are further processed at the Company before sold.

	2020			2019		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	452,504,494	1,282,336,670	1,734,841,164	1,086,687,353	1,391,477,165	2,478,164,518
Cost of sales	(307,536,693)	(704,043,711)	(1,011,580,404)	(872,695,669)	(913,392,768)	(1,786,088,437)
Gross profit	144,967,801	578,292,959	723,260,760	213,991,684	478,084,397	692,076,081
Unallocated income and expenses						
Other income			31,995,310			57,846,002
Selling and distribution expenses			(117,723,804)			(147,923,166)
Administrative expenses			(286,324,978)			(287,282,354)
Other expenses			(91,384,606)			-
Operating profit			259,822,682			314,716,563
Net finance costs			(54,326,995)			6,307,184
Profit before tax			205,495,687			321,023,747
Income tax expense			(63,977,014)			(75,805,475)
Profit for the year from continuing operations			141,518,673			245,218,272

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

6 Revenue

	Notes	Group		Company	
		2020	2019	2020	2019
Sale of goods		1,734,841,164	2,478,164,518	1,267,997,542	2,097,048,737
		1,734,841,164	2,478,164,518	1,267,997,542	2,097,048,737

Revenue of the Company consist of local sales of fertilizers and agri machineries, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and other local sales

(All amounts in Sri Lankan Rupees)

7 Other income

	Notes	Group		Company	
		2020	2019	2020	2019
Dividend income	7.1	-	-	64,999,995	40,420,000
Gain on disposal of property plant and equipment		-	4,873,249	-	1,260,000
Amortization of deferred income		1,494,432	1,494,432	1,494,432	1,494,432
Used bag sales		9,530,130	8,803,400	9,530,130	8,803,400
Reversal of impairment on other receivable		-	33,093,308	-	33,093,308
Reversal of impairment on AgStar Exports (Private) Ltd		-	-	-	16,600,000
Reversal of trade receivable written off		2,984,992	-	2,984,992	-
Sundry income		17,985,756	9,581,613	4,161,859	221,784
Total of other income		31,995,310	57,846,002	83,171,408	101,892,924

7.1 Dividend income

- Unquoted		-	-	64,999,995	40,420,000
		-	-	64,999,995	40,420,000

8 Other expenses

	Notes	Group		Company	
		2020	2019	2020	2019
Buildings demolished	30	80,618,049	-	-	-
Provision for impairment of due from AgStar Grains (Private) Limited		-	-	-	10,043,000
Provision for impairment of investment in AgStar Exports (Private) Limited		-	-	1,250,000	-
Impairment/ write off of other receivables		10,766,557	-	6,791,557	-
Total of other expenses		91,384,606	-	8,041,557	10,043,000

(All amounts in Sri Lankan Rupees)

9 Net finance income/(costs)

	Notes	Group		Company	
		2020	2019	2020	2019
Finance income					
Interest income on FCBU		2,645,967	4,597,092	-	-
Interest income on deposits		7,135,932	3,471,269	6,834,945	3,373,168
Interest income on Repo investment		850,091	3,580,302	850,091	3,580,302
Gain on translation of foreign currency		40,075,494	84,975,173	34,436,124	74,483,105
Total finance income		50,707,484	96,623,836	42,121,160	81,436,575
Finance costs					
Interest expense on short term loans		102,503,062	89,190,171	93,818,676	82,712,567
Interest expense on bank overdraft		2,155,266	1,126,481	1,290,639	640,253
Interest expense on lease liabilities		376,151	-	276,807	-
Total finance costs		105,034,479	90,316,652	95,386,122	83,352,820
Net finance income/(costs) recognized in profit or loss		(54,326,995)	6,307,184	(53,264,962)	(1,916,245)

10 Profit before tax from continuing operations

For the year ended 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Stated after charging all expenses including the following:					
Directors' emoluments		31,434,570	28,479,483	31,434,570	28,479,483
Auditors' remuneration - Statutory audit		1,100,000	985,000	500,000	480,000
Employee benefit expenses	10.1	194,675,615	180,618,135	144,500,433	136,347,458
Depreciation of property plant and equipment	15	50,750,967	49,526,754	33,373,903	30,343,271
Amortisations of intangible assets	16	1,064,470	400,000	8,958	-
Amortisations of right of use assets	17.1	1,075,440	-	48,059,492	-
Impairment loss on inventory	19.1	1,048,466	871,637	-	-
Donation		-	17,000	-	17,000
Subsidy write off	20.2	9,123,630	-	9,123,630	-
Trade receivable write off		34,385,039	26,790,096	29,812,168	26,614,591
Impairment loss/(reversal) on trade receivables	20.3	(14,221,591)	19,250,452	(19,426,037)	10,482,463
Legal expenses		7,170,249	12,337,416	4,583,472	9,790,279

(All amounts in Sri Lankan Rupees)

10.1 Employee benefit expenses

For the year ended 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Salaries, wages and other related cost		169,213,408	160,171,762	119,274,949	116,121,639
Contributions to defined contribution plans		18,913,690	14,714,033	18,713,015	14,519,915
Provision for retirement benefit obligations		6,548,517	5,732,340	6,512,469	5,705,904
Total of employee benefit expenses		194,675,615	180,618,135	144,500,433	136,347,458
Number of employees		161	165	158	163

11 Income tax expense

	Notes	Group		Company	
		2020	2019	2020	2019
Current tax expense					
Taxation on profit for the year	11.1	9,689,378	465,422	-	-
Economic service charge not recoverable written off		973,242	-	-	-
(Over)/under provision in respect of previous year		6,038	(1,192,783)	-	(1,188,003)
Withholding tax on dividend paid by subsidiaries		-	6,580,000	-	-
		10,668,658	5,852,639	-	(1,188,003)
Deferred tax expense					
Origination of temporary differences	26.1/26.2	63,420,833	69,952,836	67,912,820	68,565,386
Recognition of previously unrecognized tax losses	26.1	(10,112,477)	-	-	-
Income tax expense on continuing operations		63,977,014	75,805,475	67,912,820	67,377,383
Current tax expense					
Economic service charge not recoverable written off		2,122,048	455,171	-	-
(Over)/under provision in respect of previous year		-	62,543	-	-
Income tax expense on discontinued operations		2,122,048	517,714	-	-

(All amounts in Sri Lankan Rupees)

11.1 Reconciliation between current tax expense and the accounting profit

	Notes	Group		Company	
		2020	2019	2020	2019
Profit/(loss) before taxation - continuing operations	12.1	205,495,687	321,023,747	261,232,652	278,623,544
Profit/(loss) before taxation - discontinuing operations		(1,407,640)	(18,331,934)	-	-
Consolidation adjustments		87,693,632	114,699,644	-	-
Adjusted profit before tax		291,781,679	417,391,457	261,232,652	278,623,544
Non business income	11.4	(100,498,503)	(75,286,778)	(74,179,463)	(66,727,902)
Aggregate allowable expense		(87,541,994)	(42,578,906)	(29,626,118)	(27,067,721)
Aggregate disallowable expense		130,533,872	83,624,258	17,100,064	58,418,612
Subsidy adjustment		(886,193,980)	(1,977,238,533)	(886,193,980)	(1,977,238,533)
Tax exempt profit		-	(82,617,805)	-	-
Tax loss of group companies for the year		720,991,600	1,737,138,831	-	-
Statutory income / (loss) from business		69,072,674	60,432,524	(711,666,845)	(1,733,992,000)
Non-business income liable to tax		75,975,750	11,899,097	72,685,031	6,953,470
Tax loss claimed during the year		(107,053,368)	(70,669,401)	(72,685,031)	(6,953,470)
Taxable income		37,995,056	1,662,220	(711,666,845)	(1,733,992,000)
Income Tax @ 14%		12,032	-	-	-
Income Tax @ 18%		1,682,077	-	-	-
Income Tax @ 24%		16,307	-	-	-
Income Tax @ 28%		7,978,962	465,422	-	-
Tax on profit for the year		9,689,378	465,422	-	-
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		9,689,378	465,422	-	-
		9,689,378	465,422	-	-
Tax loss reconciliation: Continuing operations				-	
Tax loss brought forward		2,131,955,233	456,854,276	2,056,972,914	329,387,752
Adjustment to tax loss brought forward		24,278,755	(796,468)	(1,108,617)	546,632
Loss incurred during the year		716,989,560	1,733,992,000	711,666,845	1,733,992,000
Loss utilised during the year		(107,053,368)	(58,094,575)	(72,685,031)	(6,953,470)
Tax loss carried forward		2,766,170,180	2,131,955,233	2,694,846,111	2,056,972,914
Tax loss reconciliation: Discontinued operations					
Tax loss brought forward		226,480,178	238,542,050	-	-
Adjustment to tax loss brought forward		-	512,954	-	-
Loss incurred during the year		1,900,000	-	-	-
Loss utilised during the year - continuing operation		-	(12,574,826)	-	-
Tax loss carried forward		228,380,178	226,480,178	-	-

(All amounts in Sri Lankan Rupees)

- 11.2** The income tax provision of AgStar PLC and its subsidiaries which are resident in Sri Lanka has been calculated on adjusted profits from business at 28% for the first three quarters and for the last quarter 14% and 18% in terms of the Inland Revenue Act No. 24 of 2017 and amendments thereto (other than in respect of companies setout in notes 11.3 below.)

In terms of the proposed provisions issued on January 31, 2020 to the Inland Revenue Act No 24 of 2017, taxable income of the Company/ Group is liable at a rate of 18% from assessable income from business (manufacturing), 14% for agro processing incomes and 24% for other business incomes effective from January 01, 2020. This provision is currently under discussion, however, the Company/Group believes that it is probable that the proposal would be enacted and the taxable income of the last quarter would be liable for tax at a rate of 18% for the assessable income from business (manufacturing), 14% for the assessable income from business (Agro processing) and 24% for assessable income from others. If the proposal would not be enacted an additional tax expense of Rs. 934,488, Rs. 12,032 and Rs. 2,718 respectively and which have an immaterial impact on the results.

- Tax status of companies in the Group which are enjoying income tax exemptions are given in note 11.3

11.3 Companies exempt from income tax

Company	Statute	Period
AgStar Properties (Private) Ltd	Section 17(A) of the Inland Revenue Act No.10 of 2006	7 years ending 2019/2020
AgStar Grains (Private) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

- 11.4** The Company records subsidy receivable on cash basis in the computation of income tax.

(All amounts in Sri Lankan Rupees)

12 Discontinued operations

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice Processing Industries (Private) Limited) and AgStar Grains (Private) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

12.1 Results from discontinued operations

	Notes	Group		Company	
		2020	2019	2020	2019
Revenue		-	-	-	-
Cost of sales		-	-	-	-
Gross loss		-	-	-	-
Other income		334,152	10,000	-	-
Selling and distribution expenses		-	(39,181)	-	-
Administrative expenses		(1,450,130)	(2,527,922)	-	-
Reversal/(provision) of impairment of receivables		1,870,972	(1,821,816)	-	-
Provision for impairment of inventories		-	-	-	-
Impairment of property, plant and equipments		(1,900,000)	(13,953,000)	-	-
Operating loss		(1,145,006)	(18,331,919)	-	-
Finance income		-	-	-	-
Finance costs		(262,634)	(15)	-	-
Net finance costs		(262,634)	(15)	-	-
Loss before tax from discontinued operations		(1,407,640)	(18,331,934)	-	-
Tax expense:					
Current tax	11	(2,122,048)	(517,714)	-	-
Deferred tax		-	-	-	-
Loss for the year from discontinued operations		(3,529,688)	(18,849,648)	-	-
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		(3,529,688)	(18,849,648)	-	-

(All amounts in Sri Lankan Rupees)

12.2 Major Classes of Assets and Liabilities

	Notes	Group		Company	
		2020	2019	2020	2019
Classified as Held for Sale					
Assets					
Property, plant and equipment	12.2.1	502,546,483	504,446,483	260,832,550	260,832,550
Right of use asset	12.2.2	1,951,109	-	-	-
Inventories		6,837,914	6,837,914	-	-
Trade and other receivables		631,334	2,766,337	-	-
Cash in hand and cash at bank		1,078,929	372,686	-	-
Assets classified as held for sale		513,045,769	514,423,420	260,832,550	260,832,550
Liabilities					
Loans and borrowings		-	-	-	-
Trade and other payables		264,570	284,911	-	-
Lease liabilities	12.2.2	1,956,743	-	-	-
Deferred tax liabilities		-	-	-	-
Amount due to related companies		-	-	-	-
Bank overdrafts		-	105,500	-	-
Liabilities classified as held for sale		2,221,313	390,411	-	-
Net assets directly associated with disposal group		510,824,456	514,033,009	260,832,550	260,832,550

12.2.1 Movement in property, plant and equipment held for sales

Net carrying amount as at 31st March 2018		504,446,483	518,986,235	260,832,550	118,710,000
Assets transferred in		-	-	-	142,122,550
Disposals		-	(586,752)	-	-
Impairment		(1,900,000)	(13,953,000)	-	-
Net carrying amount as at 31st March 2019		502,546,483	504,446,483	260,832,550	260,832,550

12.2.2 Lease arrangements

Right of use asset					
Adjustment on initial application of SLFRS 16 (Note 3)		1,951,109	-	-	-
Balance as at end of the year		1,951,109	-	-	-
Lease liability					
Adjustment on initial application of SLFRS 16 (Note 3)		1,951,109	-	-	-
Interest amortised for the year		261,634	-	-	-
Re-payment		(256,000)	-	-	-
Balance as at end of the year		1,956,743	-	-	-

(All amounts in Sri Lankan Rupees)

12.3 Cash flows generated from/(used in) discontinued operations

	Group		Company	
	2020	2019	2020	2019
Net cash flow (used in)/ from operating activities	746,608	(607,048)	-	-
Net cash used in investing activities	-	10,000	-	-
Net cash from / (used in) financing activities	(256,000)	-	-	-
Net cash (outflow) /inflow	490,608	(597,048)	-	-

12.4 Diluted loss per share

Diluted loss per share for the year from discontinued operations	(0.01)	(0.06)	-	-
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13 Basic earnings per share

Basic earnings per share is calculated, based on the net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding. Basic earnings for an ordinary share is as follows.

	Group		Company	
	2020	2019	2020	2019
For the year ended 31st March,				
Profit attributable to ordinary shareholders (Rs.)	137,988,985	226,368,624	193,319,832	211,246,161
Number of ordinary shares at 31st March	325,000,000	325,000,000	325,000,000	325,000,000
Earnings per share (Rs.)	0.42	0.70	0.59	0.65

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

14 Dividend per share

	Group / Company		
	No of shares	2020	2019
For the year ended 31st March,			
Final dividend paid			
Voting shares	307,526,310	61,505,262	30,752,631
Non-voting (Class X) shares	17,473,690	3,494,738	1,747,369
	325,000,000	65,000,000	32,500,000
Dividend per share (Rs.)		0.20	0.10

The dividend of Rs. 0.20 per share for 2018/2019 distributed to shareholders are paid out of dividends received from Companies within the Group and the company profit for the period on which 14% withholding tax has been paid.

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment- Company

	Land	Building on lease hold land	Building	Plant and machinery	
Cost / valuation					
Balance as at 1st April 2018	154,700,000	21,200,000	78,803,012	87,147,203	
Additions during the year	-	-	-	9,873,958	
Surplus on revaluation	42,300,000	-	-	-	
Disposals	-	-	-	-	
Balance as at 31st March 2019	197,000,000	21,200,000	78,803,012	97,021,161	
Additions during the year	-	-	4,304,234	223,200	
Surplus on revaluation	17,000,000	8,180,465	8,832,591	-	
Adjustments on revaluation	-	(2,580,465)	(9,739,837)	-	
Balance as at 31st March 2020	214,000,000	26,800,000	82,200,000	97,244,361	
Accumulated Depreciation					
Balance as at 1st April 2018	-	265,000	981,429	56,542,018	
Charge for the year	-	1,255,465	4,649,081	8,343,704	
Disposals	-	-	-	-	
Balance as at 31st March 2019	-	1,520,465	5,630,510	64,885,722	
Charge for the year	-	1,060,000	4,109,327	9,026,678	
Adjustments on revaluation	-	(2,580,465)	(9,739,837)	-	
Balance as at 31st March 2020	-	-	-	73,912,400	
Net carrying amount as at 31st March 2020	214,000,000	26,800,000	82,200,000	23,331,961	
Net carrying amount as at 31st March 2019	197,000,000	19,679,535	73,172,502	32,135,439	

	Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipment	Capital work in progress	Total
	34,821,354	16,366,887	4,480,970	2,733,902	34,132,816	1,896,083	436,282,227
	39,311,522	139,709	31,602	665,210	6,304,212	2,649,826	58,976,039
	-	-	-	-	-	-	42,300,000
	(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
	70,598,136	16,506,596	4,512,572	3,399,112	37,971,403	4,545,909	531,557,901
	-	1,346,461	267,341	-	390,807	725,492	7,257,535
	-	-	-	-	-	-	34,013,056
	-	-	-	-	-	-	(12,320,302)
	70,598,136	17,853,057	4,779,913	3,399,112	38,362,210	5,271,401	560,508,190
	13,531,190	13,447,079	3,407,641	2,729,629	25,427,816	-	116,331,802
	10,349,975	897,732	286,972	172,625	4,387,717	-	30,343,271
	(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
	20,346,425	14,344,811	3,694,613	2,902,254	27,349,908	-	140,674,708
	13,132,803	890,687	328,945	222,157	4,603,306	-	33,373,903
	33,479,228	15,235,498	4,023,558	3,124,411	31,953,214	-	161,728,309
	37,118,908	2,617,559	756,355	274,701	6,408,996	5,271,401	398,779,881
	50,251,711	2,161,785	817,959	496,858	10,621,495	4,545,909	390,883,193

(All amounts in Sri Lankan Rupees)

15 Property, plant and equipment - Group

	Land	Building on lease hold land	Building	Improvements on lease hold Building	Plant and machinery	
Cost / valuation						
Balance as at 1st April 2018	924,500,000	21,200,000	407,594,175	493,925	110,111,597	
Additions during the year	-	-	-	-	11,240,508	
Surplus on revaluation	80,500,000	-	-	-	-	
Disposals	-	-	-	-	-	
Balance as at 31st March 2019	1,005,000,000	21,200,000	407,594,175	493,925	121,352,105	
Additions during the year	-	-	4,304,234	360,810	823,973	
Surplus on revaluation	55,700,000	8,180,465	27,603,114	-	-	
Disposals/write off	-	-	(90,026,433)	-	-	
Adjustments on revaluation	-	(2,580,465)	(41,259,666)	-	-	
Transfers	-	-	14,484,576	-	-	
Balance as at 31st March 2020	1,060,700,000	26,800,000	322,700,000	854,735	122,176,078	
Accumulated depreciation						
Balance as at 1st April 2018	-	265,000	11,694,760	458,360	73,750,331	
Charge for the year	-	1,255,465	20,753,804	35,565	10,857,580	
Disposals	-	-	-	-	-	
Balance as at 31st March 2019	-	1,520,465	32,448,564	493,925	84,607,911	
Charge for the year	-	1,060,000	18,219,486	45,101	11,493,607	
Disposals/write off	-	-	(9,408,384)	-	-	
Adjustments on revaluation	-	(2,580,465)	(41,259,666)	-	-	
Balance as at 31st March 2020	-	-	-	539,026	96,101,518	
Net carrying amount as at 31st March 2020	1,060,700,000	26,800,000	322,700,000	315,709	26,074,560	
Net carrying amount as at 31st March 2019	1,005,000,000	19,679,535	375,145,611	-	36,744,194	

	Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipment	Capital work in progress	Total
	34,821,354	18,008,713	4,823,164	2,905,802	36,882,009	3,672,904	1,565,013,644
	39,311,522	211,659	31,602	665,210	6,308,012	20,922,359	78,690,872
	-	-	-	-	-	-	80,500,000
	(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
	70,598,136	18,220,372	4,854,766	3,571,012	40,724,396	24,595,263	1,718,204,151
	-	1,656,074	267,341	-	840,157	-	-
	-	-	-	-	-	154,934,834	163,187,423
	-	-	-	-	-	-	91,483,579
	-	-	-	-	-	-	(90,026,433)
	-	-	-	-	-	-	(43,840,131)
	-	-	-	-	-	(14,484,576)	-
	70,598,136	19,876,446	5,122,107	3,571,012	41,564,553	165,045,521	1,839,008,589
	13,531,188	14,145,339	3,749,836	2,901,531	26,814,577	-	147,310,922
	10,349,975	1,072,296	286,972	172,625	4,742,472	-	49,526,754
	(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
	20,346,423	15,217,635	4,036,808	3,074,156	29,091,424	-	190,837,311
	13,132,803	1,107,363	328,945	222,157	4,941,505	-	50,550,967
	-	-	-	-	-	-	(9,408,384)
	-	-	-	-	-	-	(43,840,131)
	33,479,226	16,324,998	4,365,753	3,296,313	34,032,929	-	188,139,763
	37,118,910	3,551,448	756,354	274,699	7,531,624	165,045,521	1,650,868,826
	50,251,713	3,002,737	817,958	496,856	11,632,972	24,595,263	1,527,366,840

(All amounts in Sri Lankan Rupees)

15.1 Information on the land and buildings of the Group

Location	Revalued Date	Land extent (Perches)	Building (Square feet)	Cost or revaluation of land	Cost or revaluation of buildings	Total value	Accumulated depreciation	Net book value of the buildings	Total net book value
Continuing operations									
Borella	31st March 2020	16.32	6,460	195,800,000	50,400,000	246,200,000	-	50,400,000	246,200,000
Bawa Place, Colombo 08									
Dambulla	31st March 2020	63.75	10,165	18,200,000	31,800,000	50,000,000	-	31,800,000	50,000,000
Ihalakatupe Watta, Pannampitiya Village, Lenadora									
Ekala	31st March 2020	1,539.55	99,410	846,700,000	240,500,000	1,087,200,000	-	240,500,000	1,087,200,000
No.93, Minuwangoda Road, Ekala									
Building on lease hold land									
Polonnaruwa	31st March 2020	-	7,970	-	26,800,000	26,800,000	-	26,800,000	26,800,000
Ambalamkele									
Discontinued operations									
Anuradhapura	31st March 2017	579.22	60,134	63,800,000	199,922,550	263,722,550	(2,890,000)	197,032,550	260,832,550
Puliyankulama									
Building on lease hold land									
Dehiattakandiya	-	-	41,600	-	68,912,677	68,912,677	(12,289,541)	56,623,136	56,623,136
Sandunpura									

- The lands and buildings at Borella, Anuradapura and Dambulla belong to AgStar PLC. The land and building at Ekala belong to AgStar Properties (Private) Limited which is a fully own subsidiary of AgStar PLC, having a land extent of 1,539.55 perches bearing Assessment No.93, Minuwangoda road, Ekala, which have been valued by an Independent valuer Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land and buildings as at 31st March 2020. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16.
- During the year part of the building with 39,611 Sqft amounting to value of Rs. 80 Mn in Ekala location was demolished in the view to expand the warehouse area to 83,000 Sqft and to construct a new building for administration purpose with an area of 10,880 Sqft.
- The land and buildings under discontinued operations were measured at the lower of carrying value and fair value less cost to sell from the point of transfer to assets held for sale in 31st March 2017. Subsequently the properties have been revalued according to the Group policy by Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka and measured at lower of carrying value and fair value less cost to sell.
- The Group have not pledged any property, plant and equipment as security for liabilities or temporary idle assets as at 31st March 2020.

(All amounts in Sri Lankan Rupees)

15.2 The carrying amount of revalued land and buildings if they were carried at cost less depreciation, would be as follows;

	Group		Company	
	2020	2019	2020	2019
Cost	812,027,515	863,829,469	365,956,190	361,651,955
Accumulated depreciation	(67,405,160)	(71,111,860)	(25,035,792)	(18,317,691)
Carrying value	744,622,355	792,717,609	340,920,398	343,334,264

15.3 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to

	Group		Company	
	2020	2019	2020	2019
Fully depreciated property, plant and equipment	86,174,904	53,807,269	81,723,431	50,143,746

15.4 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2020	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,410,200,000	1,410,200,000
	-	-	1,410,200,000	1,410,200,000

31st March 2019	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,399,825,146	1,399,825,146
	-	-	1,399,825,146	1,399,825,146

(All amounts in Sri Lankan Rupees)

15.4 Fair value measurement (Contd.)

Assets and liabilities measured at fair value - Recurring

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Borella	- Market comparable method	Rs. 12,000,000	Rs. 9,750	Positive
Dambulla	- Market comparable method	Rs. 285,000	Rs. 3,500 - Rs. 4,750	Positive
Ekala	- Market comparable method	Rs. 550,000	Rs. 3,250 - Rs. 6,250	Positive
Building on lease hold land				
Polonnaruwa	- Market comparable method	-	Rs. 4,750 - Rs. 5,250	Positive

16 Intangible assets

	Group		Company	
	2020	2019	2020	2019

16.1 Software

Additions during the year	6,846,339	-	430,000	-
Amortisation	(864,470)	-	(8,958)	-
Balance as at end of the year	5,981,869	-	421,042	-

16.2 Trade mark

Balance at the beginning of the year	200,000	600,000	-	-
Amortisation	(200,000)	(400,000)	-	-
Balance as at end of the year	-	200,000	-	-

16.3 Goodwill on acquisition

Balance at the beginning of the year	56,425,992	56,425,992	-	-
Impairment during the year	-	-	-	-
Balance as at end of the year	56,425,992	56,425,992	-	-
Net carrying amount at end of the year	62,407,861	56,625,992	421,042	-

(All amounts in Sri Lankan Rupees)

Software

Software includes SAGE 300 accounting package purchased by AgStar Properties (Private) Ltd.

Trade mark

During the year ended 31st March 2015, AgStar Seeds (Private) Ltd acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West of France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole of Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co- branding (GSN) to be able to write Seram Agro name on label and to include its logo.

Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions in the calculation of value in use were given as follows;

- Business growth – Based on the long term average growth rate for each business unit.
- The weighted average growth rate used is consistent with the forecast included in industry reports.
- Inflation – Based on current inflation rate and
- Discount rate – Risk free rate adjusted by adding appropriate risk premium
- Gross margin – Based on past performance and budgeted expectations.
- The Covid-19 impact was considered when determining the recoverable amount of goodwill.

(All amounts in Sri Lankan Rupees)

17 Lease arrangements

	Group		Company	
	2020	2019	2020	2019

17.1 Right of use assets

As at the beginning of the year	-	-	-	-
Adjustment on initial application of SLFRS 16 (Note 3)	1,948,370	-	65,948,370	-
	1,948,370	-	65,948,370	-
Additions during the year	2,647,896	-	-	-
Amortisation	(1,075,440)	-	(48,059,492)	-
Balance as at end of the year	3,520,826	-	17,888,878	-

17.2 Lease liabilities

As at the beginning of the year	-	-	-	-
Adjustment on initial application of SLFRS 16 (Note 3)	1,948,370	-	1,948,370	-
	1,948,370	-	1,948,370	-
Additions during the year	2,647,896	-	-	-
Interest amortised for the year	376,151	-	276,807	-
Re-payment	(2,184,000)	-	-	-
Balance as at end of the year	2,788,417	-	2,225,177	-

Maturity analysis of lease liabilities - contractual undiscounted cashflows

Less than one year	1,100,000	-	500,000	-
One to five years	1,338,750	-	1,338,750	-
More than five years	8,993,925	-	8,993,925	-
	11,432,675	-	10,832,675	-

Lease liabilities included in the statement of financial position

Current	782,545	-	219,305	-
Non-current	2,005,872	-	2,005,872	-
	2,788,417	-	2,225,177	-

(All amounts in Sri Lankan Rupees)

18 Investments in subsidiaries

As at 31st March,	Company/Group holding		No of shares		Cost as at 31st March	
	2020	2019	2020	2019	2020	2019
AgStar Cropcare (Private) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Private) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Properties (Private) Ltd.	100%	100%	35,000,000	35,000,000	350,000,000	350,000,000
AgStar Grains (Private) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Private) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Private) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Private) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
			103,060,000	103,060,000	1,026,429,088	1,026,429,088
Provision for fall in value of investments (Note 18.1)					(534,850,000)	(533,600,000)
					491,579,088	492,829,088

- 18.1 The Company has made provisions against the investments in Mahaweli Agro Trading (Private) Limited, AgStar Grains (Private) Limited and AgStar Exports (Private) Limited of Rs.172.7 million (2019 - Rs.172.7 million), Rs.340 million (2019 - Rs.340 million) and Rs. 22.15 million (2019 - Rs.20.9 million) respectively.

19 Inventories

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Raw materials and consumables	139,211,333	207,641,653	48,805,608	93,921,070
Finished goods	122,082,227	119,043,389	54,969,647	7,750,340
Spare parts	1,366,414	-	1,366,414	-
Goods in transit	102,095,834	206,983,555	102,095,834	206,983,555
	364,755,808	533,668,597	207,237,503	308,654,965
Provision for impairment of inventories (Note 19.1)	(2,068,220)	(1,526,861)	-	-
	362,687,588	532,141,736	207,237,503	308,654,965

19.1 Provision for impairment of inventories

Balance at the beginning of the year	1,526,861	655,224	-	-
(Reversal)/ provision during the year	1,048,466	871,637	-	-
Write - offs	(507,107)	-	-	-
Balance at end of the year	2,068,220	1,526,861	-	-

(All amounts in Sri Lankan Rupees)

20 Trade and other receivables

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Trade receivables		312,984,015	439,601,456	171,205,965	319,798,593
Tax recoverable	20.1	40,608,491	32,183,288	16,326,918	9,823,327
Other receivables		9,681,282	42,774,590	-	33,093,308
Deposits and prepayments		27,593,551	26,981,542	6,878,933	18,888,520
Rent paid in advance		-	-	-	64,000,000
Subsidy receivable	20.2	2,872,556,143	1,986,362,163	2,872,556,143	1,986,362,163
Advances		28,936,535	21,477,982	11,199,607	14,919,900
Interest income receivable		3,687,557	4,664,235	3,584,961	642,464
Staff loan		8,871,186	12,132,591	8,871,186	12,132,591
Sub Total		3,304,918,760	2,566,177,847	3,090,623,713	2,459,660,866
Provision for impairment of trade receivables	20.3	(83,620,169)	(97,841,760)	(33,602,149)	(53,028,186)
Provision for impairment of other receivables	20.4	(9,681,282)	(9,681,282)	-	-
Total of trade and other receivables		3,211,617,309	2,458,654,805	3,057,021,564	2,406,632,680

20.1 Tax recoverable

Withholding tax recoverable		696,262	215,605	331,071	168,657
Economic service charge recoverable		21,714,026	14,014,569	15,995,847	9,654,670
Value added tax recoverable		21,732,378	16,573,816	-	-
Nation building tax recoverable		440,825	1,379,298	-	-
Provision for Value added tax recoverable		(3,975,000)	-	-	-
Total tax receivables		40,608,491	32,183,288	16,326,918	9,823,327

20.2 Subsidy receivable

Balance at the beginning of the year		1,986,362,163	9,123,630	1,986,362,163	9,123,630
Additions during the year		2,503,588,660	3,052,927,325	2,503,588,660	3,052,927,325
Receipt during the year		(1,608,271,050)	(1,075,688,792)	(1,608,271,050)	(1,075,688,792)
Written off during the year		(9,123,630)	-	(9,123,630)	-
Balance at end of the year		2,872,556,143	1,986,362,163	2,872,556,143	1,986,362,163

20.3 Provision for impairment of trade receivables

Balance at the beginning of the year		97,841,760	172,175,828	53,028,186	117,851,252
Provision/ (reversal) during the year		(14,221,591)	19,250,452	(19,426,037)	10,482,463
Write - offs		-	(93,584,520)	-	(75,305,529)
Balance at end of the year		83,620,169	97,841,760	33,602,149	53,028,186

(All amounts in Sri Lankan Rupees)

20.4 Provision for impairment of other receivables

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Balance at the beginning of the year		9,681,282	48,171,809	-	38,490,527
(Reversal)/ provision during the year		-	(33,093,308)	-	(33,093,308)
Write - offs		-	(5,397,219)	-	(5,397,219)
Balance at end of the year		9,681,282	9,681,282	-	-

21 Related party receivables and payables

21.1 Amounts due from related companies

As at 31st March,	Group		Company	
	2020	2019	2020	2019
AgStar Cropcare (Private) Ltd.	-	-	76,071,170	99,288,287
AgStar Seeds (Private) Ltd.	-	-	1,140,532	266,074
AgStar Properties (Private) Ltd.	-	-	214,460,032	-
AgStar Grains (Private) Ltd.	-	-	237,958,823	237,893,688
Mahaweli Agro Trading (Private) Ltd	-	-	159,891,229	158,066,057
AgStar Exports (Private) Ltd.	-	-	1,775,138	122,737,277
Prith Seeds (Private) Ltd.	-	-	2,050,143	-
	-	-	693,347,067	618,251,383
Provision for receivable from AgStar Grains (Private) Ltd.	-	-	(88,273,000)	(88,273,000)
	-	-	605,074,067	529,978,383

21.2 Amounts due to related companies

AgStar Properties (Private) Ltd.	-	-	-	2,649,765
Prith Seeds (Private) Ltd.	-	-	-	509,052
Balance at end of the year	-	-	-	3,158,817

(All amounts in Sri Lankan Rupees)

22 Cash and cash equivalents

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Short term deposits	22.1	57,404,320	163,107,000	40,542,064	36,836,941
Cash in hand		1,084,410	861,910	515,410	480,410
Cash at Bank		25,147,936	86,005,043	4,354,590	77,168,782
Cash and cash equivalents in the statements of financial position		83,636,666	249,973,953	45,412,064	114,486,133
Bank overdraft for cash management purposes		(31,890,131)	(17,778,823)	(25,022,842)	(5,888,539)
Cash and cash equivalents classified as held for sale - net	12.2	1,078,929	267,186	-	-
Cash and cash equivalents for the purpose of cash flow statements		52,825,464	232,462,316	20,389,222	108,597,594

22.1 Short term deposits

Fixed deposits - HNB		26,324,651	23,936,941	26,324,651	23,936,941
Fixed deposits - Peoples's Bank		14,217,413	12,900,000	14,217,413	12,900,000
Foreign currency fixed deposits - Sampath Bank		16,862,256	126,270,059	-	-
		57,404,320	163,107,000	40,542,064	36,836,941

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	General terms & conditions

(All amounts in Sri Lankan Rupees)

23 Stated capital

As at 31st March,	Group / Company	
	2020	2019
Stated Capital	1,204,093,678	1,204,093,678
Issued and fully paid ordinary shares	325,000,000	325,000,000

The holders of ordinary shares are entitled to receive dividend as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

24 Employee benefits

24.1 Movement in net defined benefit obligation

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Balance at the beginning of the year	30,498,640	25,814,416	30,418,101	25,726,881
Include in profit or loss				
Current service cost	3,194,069	3,024,716	3,166,478	3,004,581
Interest cost	3,354,448	2,707,624	3,345,991	2,701,323
	6,548,517	5,732,340	6,512,469	5,705,904
Include in other comprehensive income				
Actuarial loss/(gain)	205,461	453,234	184,093	486,666
	37,252,618	31,999,990	37,114,663	31,919,451
Other				
Benefits paid	(7,429,635)	(1,501,350)	(7,429,635)	(1,501,350)
Balance at end of the year	29,822,983	30,498,640	29,685,028	30,418,101

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Private) Ltd, as at 31st March 2020. The actuarial present value of the promised retirement benefit as at 31st March 2020 amounted to Rs.29,685,028/- (2019- Rs.30,418,101/-) for the Company and Rs.29,822,983 (2019- Rs.30,498,640) for the Group. The liability is not externally funded.

(All amounts in Sri Lankan Rupees)

24.2 Defined benefit obligation

The following were the principal actuarial assumptions at the reporting date.

As at 31st March,	Group / Company	
	2020	2019
Actuarial assumptions		
Discount rate	10.50%	11.00%
Future salary growth	7%	8%
Retirement age	55 years	55 years
Mortality	A 66/70 mortality table issued by the Institute of Actuaries, London.	

It is also assumed that the Company will continue in business as a going concern

24.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Discount rate				
1% increase	(1,163,053)	(954,138)	(1,156,263)	(941,438)
1% decrease	1,256,339	1,026,960	1,247,510	1,011,405
Future salary growth rate				
1% increase	1,407,008	1,165,479	1,397,946	1,149,608
1% decrease	(1,322,485)	(1,100,862)	(1,315,444)	(1,087,734)

Although the analysis does not take accounts of the distribution of full cash flows expected under the plan, it does provide approximation of sensitivity of the assumption given.

(All amounts in Sri Lankan Rupees)

24.4 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Less than one year	5,630,738	11,828,920	5,523,238	11,773,228
Between 1-2 years	4,879,474	4,289,430	4,879,474	4,289,430
Between 3-5 years	13,941,636	9,525,128	13,941,636	9,525,128
Beyond 5 years	5,371,135	4,855,163	5,340,680	4,830,315
Total expected payments	29,822,983	30,498,640	29,685,028	30,418,101
Weighted average duration (years) of define benefit obligation	4.42	3.51	4.42	3.51

25 Deferred income

	Group		Company	
	2020	2019	2020	2019
Balance at the beginning of the year	3,644,966	5,139,398	3,644,966	5,139,398
Recognised during the year	(1,494,432)	(1,494,432)	(1,494,432)	(1,494,432)
Balance as at end of the year	2,150,534	3,644,966	2,150,534	3,644,966

Deferred income represents the gain on disposal of motor vehicles to staff for loan consideration. The deferred income is amortised to profit or loss over the period when the corresponding loan due from staff is charged to profit or loss as an employee benefit.

(All amounts in Sri Lankan Rupees)

26 Deferred tax (assets)/liabilities**26.1 Deferred tax assets**

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Movement in deferred tax assets				
Balance at the beginning of the year	(1,253,619)	(178,940)	-	-
Origination/(reversal) of temporary differences recognised in statement of profit or loss				
Continuing operations	(12,406,616)	(1,084,040)	-	-
Origination/(reversal) of temporary differences recognised in other comprehensive income				
Deferred tax on actuarial gain/(loss)	(5,983)	9,361	-	-
Balance at the end of the year	(13,666,218)	(1,253,619)	-	-
Composition of deferred tax assets				
Property, plant and equipment	(51,738)	(530,640)		
	(51,738)	(530,640)	-	-
Retirement benefit obligation	38,627	22,551	-	-
Previously unrecognized tax losses	10,112,477	-	-	-
Provision for inventories	347,801	-	-	-
Provision for bad debts	3,219,051	1,761,708	-	-
	13,717,956	1,784,259	-	-
	13,666,218	1,253,619	-	-

(All amounts in Sri Lankan Rupees)

26.2 Deferred tax liabilities

As at 31st March,	Group		Company	
	2020	2019 (Restated)	2020	2019 (Restated)
Movement in deferred tax liabilities				
Balance at the beginning of the year	254,108,020	160,667,410	43,137,299	(37,135,821)
Origination/(reversal) of temporary differences recognised in statement of profit or loss				
Continuing operations	65,714,972	71,036,876	67,912,820	68,565,386
Discontinued operations	-	-	-	-
Origination/(reversal) of temporary differences recognised in other comprehensive income				
Deferred tax on revaluation surplus	25,615,403	22,540,000	9,523,656	11,844,000
Deferred tax on actuarial gain/(loss)	(51,546)	(136,266)	(51,546)	(136,266)
Balance at the end of the year	345,386,849	254,108,020	120,522,229	43,137,299
Composition of deferred tax liabilities				
Property, plant and equipment	(115,061,147)	(106,690,194)	(43,151,948)	(38,078,955)
Right-of-use assets	(677,832)	-	(528,886)	-
Subsidy receivable	(804,315,720)	(556,181,406)	(804,315,720)	(556,181,406)
Capital gain tax on land	(194,458,588)	(178,862,588)	(41,263,106)	(36,503,106)
	(1,114,513,287)	(841,734,188)	(889,259,660)	(630,763,467)
Retirement benefit obligation	8,311,808	8,517,068	8,311,808	8,517,068
Lease liabilities	780,757	-	623,050	-
Tax losses carried forward	754,556,911	575,952,416	754,556,911	575,952,416
Provision for inventories	231,301	-	-	-
Provision for bad debts	5,245,661	3,156,684	5,245,662	3,156,684
	769,126,438	587,626,168	768,737,431	587,626,168
	(345,386,849)	(254,108,020)	(120,522,229)	(43,137,299)

Based on the provision in the new Inland Revenue Act No.24 of 2017, the Company and the Group have recognized deferred tax on revaluation gain on land.

(All amounts in Sri Lankan Rupees)

26.3 Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

As at 31st March,	Group		Company	
	2020	2019	2020	2019
AgStar Cropcare (Private) Ltd	-	10,949,699	-	-
AgStar Exports (Private) Ltd	30,463,237	31,818,831	-	-
AgStar Seeds (Private) Ltd	-	56,888,661	-	-
Mahaweli Agro Trading (Private) Ltd	233,125,020	226,480,178	-	-
	263,588,257	326,137,369	-	-

26.4 Tax loss carried forward

Tax losses arisen from AgStar PLC can be carried forward as follows;

Balance period	Value (Rs.)
6 years	711,666,845
5 years	1,732,883,383
4 years	250,295,883
	2,694,846,111

27 Trade and other payables

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Trade payables	954,111,682	970,798,128	940,186,790	909,401,404
Other payables	29,153,311	203,571,670	7,365,170	191,099,062
Interest payable	2,715,892	-	2,488,773	-
Advance received	4,327,245	160,000	2,985,000	160,000
Total of trade and other payables	990,308,130	1,174,529,798	953,025,733	1,100,660,466

(All amounts in Sri Lankan Rupees)

28 Loans and borrowings

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Current liabilities					
Term loans	28.1	1,474,586,446	983,304,092	1,434,594,484	953,044,879
		1,474,586,446	983,304,092	1,434,594,484	953,044,879

28.1 Terms and repayment schedule

The terms and conditions of outstanding loans as follows.

	Currency	Nominal interest rate	Term	31st March 2020		31st March 2019	
				Face value	Carrying amount	Face value	Carrying amount
Secured bank loan	LKR	AWPLR+1%	On demand	1,474,586,446	1,474,586,446	983,304,092	983,304,092
				1,474,586,446	1,474,586,446	983,304,092	983,304,092

28.2 Loan movement during the year

As at 31st March,	Group		Company	
	2020	2019	2020	2019
Balance at the beginning of the year	983,304,092	16,637,105	953,044,879	9,110,338
Obtained during the year	2,865,761,784	3,591,416,787	2,540,996,447	3,374,636,638
Repayment during the year	(2,374,479,430)	(2,624,749,800)	(2,059,446,842)	(2,430,702,097)
Balance at the end of the year	1,474,586,446	983,304,092	1,434,594,484	953,044,879

29 Related party disclosures

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 10

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2020.

(All amounts in Sri Lankan Rupees)

29.1 Recurrent related party transactions

The Group entered into the recurrent related party transactions for the year 2019/20 as follows:

Transactions with subsidiaries

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2020	Balance due (to)/ from as at 31/3/2019
AgStar Cropcare (Private) Ltd	Subsidiaries	Settlements of related party receivable	(57,500,000)		
		Funds transferred	2,000,000		
		Cropcare purchases	(24,814,904)		
		Fertilizer Sales	19,059,568		
		Dividend	17,499,997		
		Packing material transferred	355,314		
		Expenses incurred by parent	5,344,064		
		Salaries and allowance	18,197,280		
		Set off against customer deposits	(3,358,436)	76,071,170	99,288,287
AgStar Exports (Private) Ltd	Subsidiaries	Settlements of related party receivable	(127,281,500)		
		Expenses incurred by parent	2,424,954		
		Salaries and allowance	3,894,407	1,775,138	122,737,277
AgStar Grains (Private) Ltd	Subsidiaries	Expenses incurred by parent	65,135	237,958,823	237,893,688
		Provision made	-	(88,273,000)	(88,273,000)
AgStar Properties (Private) Ltd	Subsidiaries	Funds transferred	181,210,000		
		Expenses incurred by parent company	98,467		
		Dividend	35,000,000		
		Capital expense transfer	7,441,330		
		VAT and NBT for rent	(6,640,000)	214,460,032	(2,649,765)
		Rent advance			
		Rent advance amortised	(48,000,000)	16,000,000	64,000,000
AgStar Seeds (Private) Ltd	Subsidiaries	Settlements of related party receivable	(143,500,000)		
		Funds transferred	132,000,000		
		Expenses incurred by parent company	2,465,834		
		Salaries and allowance	9,908,624	1,140,532	266,074

(All amounts in Sri Lankan Rupees)

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2020	Balance due (to)/ from as at 31/3/2019
Mahaweli Agro Trading (Private) Ltd	Subsidiaries	Expenses incurred by parent	2,359,389	159,891,229	158,066,057
		Salaries and allowance	7,315,783		
		Settlements of related party receivable	(7,850,000)		
		Trade transactions			
		Fertilizer sales	22,328,575	12,514,401	17,852,735
		Receipts	(27,666,909)		
Prith Seeds (Private) Limited	Subsidiaries	Settlements of related party receivable	(3,250,000)	2,050,143	(509,052)
		Salaries and allowance	5,108,385		
		Expenses incurred by parent	700,810		

- (f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.
- (g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.
- (h) **Terms and Conditions for recurrent transactions with related parties**
 All related party transactions are carried out in the ordinary course of business and transacted at normal business terms. The sales to and purchases from related parties are made in terms of equivalent to those that prevail in arm's length transactions and comparable with those that would have been charged from unrelated companies. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

29.2 Non-recurrent related party transactions

The Company has not entered into any non-recurrent related party transactions during the year, which exceeds 10% of the equity or 5% of the total assets, whichever is lower, as per the Colombo Stock Exchange Section Listing rule 9.3.2.

(All amounts in Sri Lankan Rupees)

30 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

AgStar PLC

The board has approved to fix solar panels to the buildings owned by the Group to generate power. The total estimated cost for the project is Rs. 130.7 Mn.

AgStar Properties (Private) Ltd.

The board has approved to construct an additional 83,000sq.ft. of warehousing space and 10,880 sq.ft new admin building in Ekala. The development costs of Rs. 383.9 Mn has been estimated and approved by the Board. For the purpose of this new warehouse construction, company demolished part of the existing warehouse and office building. The carrying amount of the building demolished is included in Note 8 in the financial statements.

Financial Commitments - Group

Documentary credit effected for foreign purchases as at 31st March 2020 Rs. 398,851,614. (2019 - Rs.147,526,165/-)

31 Contingent liabilities

There were no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

31.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Private) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	25,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
AgStar Cropcare (Private) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	50,000,000
AgStar Grains (Private) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Private) Ltd	Short Term Loan	BOC	150,000,000

(All amounts in Sri Lankan Rupees)

31.2 Bank Guarantees

Name of the Company	Name of the bank	Amount (Rs.)
Lanka Phosphate Limited	Commercial	11,000,000
Department of Customs	Commercial	187,000

32 Events occurring after the reporting date

There are no any other material events that occurred after the reporting date that require adjustment to or disclosure in the financial statements

33 Coronavirus (COVID-19) pandemic

The COVID-19 outbreak, since early 2020, has brought about some uncertainties in the Group's operating environment. AgStar PLC and the subsidiaries faced minor disruptions in operations during the Island wide curfew imposed from 20th March 2020. Subsequently, the AgStar Group started its operation with the directive by the Government to commence all agriculture related activities. Hence, the overall impact to the AgStar PLC and the subsidiaries due to COVID-19 was minimal.

Impact on the liquidity of the Company

COVID-19 pandemic has negatively impacted the liquidity position of the Company due to the delays in payments of subsidy receivables from the Government. However, the Company has a positive net current-asset position as at March 31, 2020 with a current ratio of 1.67 (current assets/current liabilities). These assets will satisfy short-term working capital requirements of the Company, if need arises, without the need to draw additional borrowings.

Impact on trade and other receivables

The fertilizer subsidy overdue from the Government has been further delayed due to the pandemic and the overdue amount now stands at Rs. 2.8 billion. This delay in payment has severely impacted the cash flows of the Company in April and May 2020 since approximately 70% of the cash inflows of the Company is from subsidy. However, the management is confident that the Company will receive the total balance over time.

The Company's trade receivables consist of customers in the industry of Agriculture related activities. Therefore, the customers of the Company too are not significantly impacted by the prevailing pandemic unlike most businesses in the country as well as globally. The table below illustrates the sensitivity of the Expected Credit Loss (ECL) model to key factors used in determining it:

ECL sensitivity - Weightings applied to forecast scenarios

As at 31 March 2020 - Group	Total impairment Rs.	Impact to the statement of profit or loss Rs.
100% best case scenario	82,230,942	(1,389,229)
100% base case scenario	83,404,957	(215,213)
100% worst case scenario	85,009,800	1,389,629

Impact on fair value measurement of non-financial assets

For the fair value measurement of lands and buildings the Company uses data that is not readily observable in current markets. This requires the exercise of additional management judgement to determine the fair value of assets depending on the significance of the unobservable input to the overall valuation. Based on the current circumstances, there is inadequate information to ascertain the total impact COVID-19 would have on the real estate sector as the pandemic condition continues to evolve. However, all the readily available information in the market have been taken into account for determining the fair value of the properties as at the reporting date by the Property Valuer.

(All amounts in Sri Lankan Rupees)

34 Comparative information

The comparative information has been rectified according to the current year classification wherever necessary to ensure comparability and better presentation.

34.1 Deferred tax assets

The Group deferred tax assets amounting to Rs. 1,253,619 are classified separately in the financial statements during the year and the comparative information has been changed accordingly

34.2 Correction of error

In the year 2017/18, the Group did not account for the deferred tax that originated from the cumulative fair value gain of land. However in 2018/19, the Group recorded the total deferred tax liability applicable for the revaluation gains of lands for the periods of 2017/18 and 2018/19 together in the 2018/19 period. Consequently, the presentation of deferred tax liability and other comprehensive income in the 2019 financial statements has been inaccurate. The error has been corrected by restating each of the affected financial statement line items for prior periods. The following table summarise the impacts on the Group's financial statements.

Statement of profit or loss and OCI

As at 31st March,	Group 2019			Company 2019		
	As previously reported	Adjustments	As restated	As previously reported	Adjustments	As restated
Deferred tax impact on revaluation of PPE	(178,862,588)	156,322,588	(22,540,000)	(36,503,106)	24,659,106	(11,844,000)
Other comprehensive income, net of tax	(98,688,917)	156,322,588	57,633,671	5,446,494	24,659,106	30,105,600
Total comprehensive income	127,679,707	156,322,588	284,002,295	216,692,655	24,659,106	241,351,761

Deferred tax note

Movement in deferred tax liabilities

As at 31st March,	Group 2019			Company 2019		
	As previously reported	Adjustments	As restated	As previously reported	Adjustments	As restated
Balance at the beginning of the year	4,344,822	156,322,588	160,667,410	(61,794,927)	24,659,106	(37,135,821)
Origination/(reversal) of temporary differences recognised in other comprehensive income						
Deferred tax impact on revaluation of PPE	178,862,588	(156,322,588)	22,540,000	36,503,106	(24,659,106)	11,844,000
Others	70,900,610	-	70,900,610	68,429,120	-	68,429,120
	254,108,020	-	254,108,020	43,137,499	-	43,137,499

(All amounts in Sri Lankan Rupees)

35 Financial instruments

- (a) The following tables shows the carrying amounts of financial assets and financial liabilities. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

35.1 Accounting classification and fair value

Company	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2020				
Financial assets not measured at fair value				
Trade and other receivables *	20	3,022,616,106	-	3,022,616,106
Amounts due from related companies	21	605,074,067	-	605,074,067
Cash and cash equivalents	22	45,412,064	-	45,412,064
		3,673,102,237	-	3,673,102,237
Financial liabilities not measured at fair value				
Trade and other payables **	27		950,040,733	950,040,733
Loans and borrowings	28		1,434,594,484	1,434,594,484
Bank overdraft	22	-	25,022,842	25,022,842
			- 2,409,658,059	2,409,658,059
As at 31st March 2019				
Financial assets not measured at fair value				
Trade and other receivables *	20	2,299,000,933	-	2,299,000,933
Amounts due from related companies	21	529,978,383	-	529,978,383
Cash and cash equivalents	22	114,486,133	-	114,486,133
		2,943,465,449	-	2,943,465,449
Financial liabilities not measured at fair value				
Trade and other payables **	27	-	1,100,500,466	1,100,500,466
Loans and borrowings	28	-	953,044,879	953,044,879
Amounts due to related companies	21.2	-	3,158,817	3,158,817
Bank overdraft	22	-	5,888,539	5,888,539
			- 2,062,592,701	2,062,592,701

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 34,405,458 (2019 - Rs. 107,631,747) have been excluded as they are not financial instruments.

** Advances amounting to Rs. 2,985,000 (2019 - Rs. 160,000) has been excluded as it is not a financial instruments

(All amounts in Sri Lankan Rupees)

35 Financial instruments (Contd.)**35.2 Accounting classification and fair value**

Trade and other receivables and trade and other payables classified as held for sales are not included in the table below. Their carrying amount is a reasonable approximation of fair value.

Group	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2020				
Financial assets not measured at fair value				
Trade and other receivables*	20	3,114,478,732	-	3,114,478,732
Cash and cash equivalents	22	84,715,595	-	84,715,595
		3,199,194,327	-	3,199,194,327
Financial liabilities not measured at fair value				
Trade and other payables**	27	-	985,980,885	985,980,885
Loans and borrowings	28	-	1,474,586,446	1,474,586,446
Bank overdraft	22	-	31,890,131	31,890,131
		-	2,492,457,462	2,492,457,462
As at 31st March 2019				
Financial assets not measured at fair value				
Trade and other receivables*	20	2,378,011,993	-	2,378,011,993
Cash and cash equivalents	22	250,241,139	-	250,241,139
		2,628,253,132	-	2,628,253,132
Financial liabilities not measured at fair value				
Trade and other payables**	27	-	1,174,554,130	1,174,554,130
Loans and borrowings	28	-	983,304,092	983,304,092
Bank overdraft	22	-	17,778,823	17,778,823
			2,175,637,045	2,175,637,045

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 97,138,577 (2019 - Rs. 80,642,812) have been excluded as they are not financial instruments.

** Advances amounting to Rs. 4,327,245 (2019 - Rs. 160,000) has been excluded as it is not a financial instruments.

36 Financial risk management objectives and policies

The Group has exposure to the following risk arising from financial instruments:

- Liquidity risk
- Credit risk
- Market risk

(All amounts in Sri Lankan Rupees)

Risk management framework

The Group's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The group is responsible for develop and monitor the Group's risk management policies. The group risk management policies are established to identify and analysis the risk faced by the Group, to set appropriate risk limits and controls and monitor risks and adherence to limits. Risk management policies and system are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain disciplined and constructive controls environment in which all employees understand their roles and obligations. The Group audit committee oversees how management, monitors compliance with the Group's risk management policies and procedures, and review the adequacy of the risk management framework in relation to the risks faced by the Group.

36.1 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meets its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damages to the Group's reputation.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amount are gross and undiscounted.

Company	As at 31st March 2020			As at 31st March 2019		
	Less than 3 months	3 - 6 months	6 -12 months	Less than 3 months	3 - 6 months	6 -12 months
Non-derivative financial liabilities						
Trade and other payables	950,040,733	-	-	1,100,660,466	-	-
Amounts due to related companies	-	-	-	3,158,817	-	-
Loans and borrowings	1,434,594,484	-	-	953,044,879	-	-
Lease liabilities	-	-	219,305	-	-	-
	2,384,635,217	-	219,305	2,056,864,162	-	-

Group	As at 31st March 2020			As at 31st March 2019		
	Less than 3 months	3 - 6 months	6 -12 months	Less than 3 months	3 - 6 months	6 -12 months
Non-derivative financial liabilities						
Trade and other payables	985,980,885	-	-	1,174,529,798	-	-
Amounts due to related companies	-	-	-	-	-	-
Loans and borrowings	1,474,586,446	-	-	983,304,092	-	-
Lease liabilities	-	-	782,545	-	-	-
	2,460,567,331	-	782,545	2,157,833,890	-	-

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

(All amounts in Sri Lankan Rupees)

36 Financial risk management objectives and policies (Contd.)

36.2 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet the its contractual obligations, and arise principally from the Group's receivable from customers.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

The Carrying amount of financial assets represents the maximum credit exposure. Impairment losses on financial assets recognized in profit and loss were as follows,

	Group		Company	
	2020	2019	2020	2019
Impairment loss on trade receivables	(14,221,591)	19,250,452	(19,426,037)	10,482,463

The Group's exposure to credit risk influenced mainly by the individual characteristics of each customer. However, management also consider the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customer operate.

The Group limits its exposure to credit risk from trade receivable by establishing a maximum period of one and two months for customers. The Group does not require collateral in respect of trade and other receivables. The Group does not have trade receivable for which no loss allowance is recognized because of collateral

(a) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

As at 31st March,	Notes	Group		Company	
		2020	2019	2020	2019
Trade and other receivables*	20	3,114,478,732	2,378,011,993	3,022,616,106	2,299,000,933
Amounts due from related companies	21	-	-	605,074,067	529,978,383
Cash and cash equivalents	22	84,715,505	250,241,139	45,412,064	114,486,133
		3,199,194,327	2,628,253,132	3,673,102,237	2,943,465,449
The ageing of trade receivables as at the reporting date were as:					
Not past due		72,403,418	109,054,116	47,564,986	80,103,503
Past due 1-60 days		54,267,613	43,771,845	32,334,681	35,140,696
Past due 61-120 days		38,082,555	33,336,616	9,849,552	18,398,095
Past due 121-240 days		21,071,404	17,439,661	18,617,146	15,826,491
Past due 241-360 days		8,988,262	23,309,528	6,953,027	16,622,365
Past due more than 360 days		118,170,763	212,689,690	55,886,573	153,707,443
Gross receivable		312,984,015	439,601,456	171,205,965	319,798,593
Impairment of trade receivables	20.3	(83,620,169)	(97,841,760)	(33,602,149)	(53,028,186)
		229,363,846	341,759,696	137,603,816	266,770,407

(All amounts in Sri Lankan Rupees)

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances of the Company and Group amounting to Rs. 34,405,458 (2019 - Rs. 107,631,747) and Rs. 97,138,577 (2019 - Rs. 80,642,812) respectively have been excluded as they are not financial instruments

36.3 Market risk

Market risk is the risk that changes in market prices will affect the Group's income or the value of its holding financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return. The Group uses derivative to manage market risks. All such transactions are carried out within the guidance set by the Group.

Market risk comprise of the following types of risk:

- (a) Currency risk
- (b) Interest rate risk
- (c) Equity price risk

(a) Currency risk

The Group is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowing are denominated and the respective functional currencies of Group companies. The functional currencies of Group companies are primarily LKR. The currencies in which these transactions are primarily denominated is US dollar.

Exposure to currency risk

The following significant exchange rates has been applied,

	Highest Level		Lowest Level		Year end rate	
	Buying	Selling	Buying	Selling	Buying	Selling
USD/LKR	187.41	192.50	172.38	176.32	187.36	192.45

Sensitivity analysis

A reasonably possible strengthening (Weakening) of the US dollar against LKR at 31st March 2020 would have affected the measurement of financial instruments denominated by foreign currency and affected profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates, remain constant.

	As at 31st March 2020		As at 31st March 2019	
	Strengthening profit/loss	weakening profit/loss	Strengthening profit/loss	weakening profit/loss
USD (1% movement)	10,829,389	(10,829,389)	6,141,329	(6,141,329)

(All amounts in Sri Lankan Rupees)

36 Financial risk management objectives and policies (Contd.)

36.3 Market risk (Contd.)

(b) Interest rate risk

Changes in market interest rates result in the fluctuation of present values of future cash flows derived from financial instruments thereby giving rise to interest rate risk.

At the reporting date, the Group's interest-bearing financial instruments were as follows:

	Group		Company	
	2020	2019	2020	2019
Variable rate instruments				
Import demand loans	1,474,586,446	983,304,092	1,474,586,446	983,304,092
Bank overdraft	31,890,131	17,778,823	25,022,847	5,888,539

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Significant movement in interest rates during the year ended 31st March 2020

	Highest Level		Lowest Level		Spread	Year end rate
	Rate	Date	Rate	Date		
LKR Interest rate *	10.15%	Apr-2019	8.11%	Aug-2019	2.04%	8.46%

*One year Government Treasury bill rate

(c) Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

DECADE AT A GLANCE

(All amounts in Sri Lankan Rupees)

31st March Rs.'000	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
OPERATING RESULTS										
Group Revenue	1,734,841	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717	1,757,847	1,805,149	2,918,609
Net Finance Expense	(54,327)	(6,307)	(34,790)	(38,460)	2,912	(110,695)	(230,675)	(100,275)	(54,396)	(37,836)
Profit Before Tax	205,496	321,024	156,039	244,104	363,440	332,676	58,399	287,031	289,452	287,607
Tax Expense	(63,977)	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)	(28,785)	(69,482)	(79,211)	(54,636)
Profit After Tax (continuing Operations)	141,519	245,219	90,308	167,387	237,417	212,975	29,614	217,549	210,241	232,971
Profit After Tax (Discontinued Operations)	(3,530)	(18,850)	(63,717)	(189,853)	(290,293)	-	-	-	-	-
Attributable To:										
Equity Holders of the parent	137,989	226,369	26,591	(22,466)	(52,876)	217,681	43,094	217,552	210,241	232,971
Non Controlling Interest	-	-	-	-	-	(5,088)	(13,480)	(3)	-	-
	137,989	226,369	26,591	(22,466)	(52,876)	212,593	29,614	217,549	210,241	232,971
FINANCIAL POSITION										
Stated Capital	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	204,094
Reserves	1,820,564	1,681,855	1,430,353	1,198,298	1,283,362	1,316,551	875,680	868,234	619,219	409,364
	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328	1,823,313	613,458
Non Controlling Interest	-	-	-	-	-	-	21,117	34,597	-	-
Net Assets	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645	2,100,891	2,106,925	1,823,313	613,458
Non Current Liabilities	379,366	286,998	191,621	66,436	178,314	229,502	288,566	276,105	206,130	142,757
	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215
Represented By:										
Property Plant & Equipment (PPE)	1,650,869	1,527,367	1,417,703	1,029,492	1,041,158	929,074	1,212,319	948,891	228,424	131,956
Non Current Assets (Excluding PPE)	79,595	56,626	57,205	212,451	150,056	76,687	5,849	5,696	96	145
- Current Assets	4,178,890	3,765,141	3,483,081	3,140,495	4,292,951	4,367,607	3,351,805	3,445,393	3,922,160	1,892,915
- Current Liabilities	(2,505,330)	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)	(2,016,950)	(2,121,237)	(1,268,801)
Net Current Assets	1,673,561	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289	1,428,443	1,800,923	624,114
	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215
KEY INDICATORS										
Annual Revenue growth (%)	(0.48)	(0.25)	19.11	61.10	-17.68	21.69	-1.83	-2.62	-38.15	24.86
Basic earning per share (Rs.)	0.42	0.70	0.08	-0.07	-0.16	0.67	0.13	0.67	0.74	1.16
Net Profit to net revenue (%)	7.95	9.13	0.80	-0.81	-3.06	10.14	1.70	12.38	11.65	7.98
Dividend per share - proposed (Rs.)	-	0.20	0.10	-	0.20	0.20	0.10	0.10	0.05	0.10
Return on Equity (%)	4.56	7.84	0.95	-0.94	-2.13	8.45	1.40	10.33	11.53	37.98
Net Assets per share (Rs.)	9.31	8.88	8.59	7.39	7.65	7.76	6.46	6.48	5.61	3.07
Gearing ratio (Times)	-	-	-	0.15	0.42	0.27	0.64	0.34	0.54	0.50
Current ratio(Times)	1.67	1.73	1.63	1.64	1.52	1.66	1.54	1.71	1.85	1.49

NOTICE OF THE 18TH ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 18th Annual General Meeting of AGSTAR PLC (the Company) will be held on 13th August 2020 at 10.00 a.m. at Marcopolo Corporate Lounge, Excel World, 338, T.B. Jaya Mawatha, Colombo 10.

Agenda

1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2020 and the Report of the Auditors thereon.
2. To re-elect Mr. D. N. N. Lokuge who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
3. To re-elect Mr. A. P. Weerasekera who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
4. To re-elect Dr. (Mrs.) A. D. N. De Zoysa who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer herself for re-election.
5. To re-elect Mr. R. K. A. Ranaweera who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer himself for re-election.
6. To re-appoint Messrs KPMG Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration

BY ORDER OF THE BOARD OF DIRECTORS
OF AGSTAR PLC



P. R. SECRETARIAL SERVICES (PRIVATE)
LIMITED
Secretaries

At Colombo, this 08th July 2020.

Note:

- A Member entitled to attend and vote at the meeting, is entitled to appoint a Proxy to attend and vote instead of him/her.
- A Proxy need not be a Member of the Company.
- A Member wishing to vote by Proxy at the meeting may use the Form of Proxy form enclosed.
- Any member or Proxy holder attending the meeting is kindly requested to bring this report.
- The completed Form of Proxy should also be deposited at the P.R. Secretarial Services (Private) Limited – Company Secretaries at No. 59, Srimath R. G. Senenayaka Mawatha (formerly Gregory's road), Colombo 7 not less than forty eight (48) hours before the time appointed for holding of the meeting.
- For security reasons, Members. Proxy holders are kindly advised to bring along with them their National Identity Card or similar for of acceptance identity when attending the meeting.

FORM OF PROXY

I/We
 ofbeing a Member/Member* of the above named Company, hereby appoint
 (1) offailing him/her.

- (2) Mr. N. G. R. Karunaratne or failing him
 (3) Mr. D. N. N. Lokuge or failing him
 (4) Mr. A. P. Weerasekera or failing him
 (5) Mr. W. A. P. Perera or failing him
 (6) Mr. D. S. K. Amarasekera or failing him
 (7) Ms. S. Wickramasinghe or failing her
 (8) Dr. (Mrs.) A. D. N. de Zoysa or failing her
 (9) Mr. R. K. A. Ranaweera

as my/our* Proxy to represent me/us* and vote and speak for me/us* on my/our* behalf at the 18th Annual General Meeting of the Company to be held on 13th August 2020 at 10.00 a.m. at Marcopolo Corporate Lounge, Excel World, 338, T.B. Jaya Mawatha, Colombo 10 and at ever poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

I/WE INDICATE MY/OUR VOTE ON THE RESOLUTIONS BELOW AS FOLLOWS;

	For	Against
1 To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2020 and the Report of the Auditors thereon.	☐	☐
2 To re-elect Mr. D. N. N. Lokuge who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election	☐	☐
3 To re-elect Mr. A. P. Weerasekera who retires by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.	☐	☐
4 To re-elect Dr. (Mrs.) A. D. N. de Zoysa who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer herself for re-election.	☐	☐
5 To re-elect Mr. R. K. A. Ranaweera who was appointed to the Board on 28th June 2019 retires by rotation in accordance with Article 23 (2) of the Articles of Association of the Company and being eligible, offer himself for re-election.	☐	☐
6 To re-appoint Messrs KPMG Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration	☐	☐

Signed thisday of.....2020.

.....
 Signature of shareholder

INSTRUCTIONS FOR THE COMPLETION OF PROXY

- 1) Please perfect the form of Proxy after filling in legibly your full name and address and by signing in the space provided and fill-in the date of signature.
- 2) Please return the completed form to the Company after deletion of one or other of the alternate words indicated by asterisks in the body of the form.
- 3) The completed form of Proxy should be deposited at P. R. Secretarial Services (Private) Limited – Company Secretaries at No. 59, Srimath R. G. Senenayaka Mawatha (formerly Gregory's road), Colombo 7 not less than 48 hours before the time appointed for the holding of the meeting.
- 4) If the Proxy has been signed by an Attorney, the relative Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
- 5) In the case of a Company/Corporation, the Proxy must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation.

Corporate Information

The Company

AgStar PLC

Legal Form

A public Quoted Company incorporated in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
09, Bawa Place, Colombo 08
Tel: +94 11 4812424, +94 11 7708040-3
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.com

Board of Directors

Mr. N. G. R. Karunaratne - Chairman
Mr. D. N. N. Lokuge - Deputy Chairman/ Non Executive Director
Mr. A. P. Weerasekera - Managing Director
Mr. D. S. K. Amarasekera - Non Executive Director
Mr. W. A. P. Perera - Non Executive Director
Mr. R. K. Athula Ranaweera - Independent Non Executive Director
Dr. (Mrs) A. D. N. de Zoysa - Independent Non Executive Director
Ms. S. Wickramasinghe - Independent Non Executive Director

Audit Committee

Mr. R. K. Athula Ranaweera (Chairman)
Dr. (Mrs) A. D. N. de Zoysa
Ms. S. Wickramasinghe

Remuneration Committee

Mr. D. N. N. Lokuge (Chairman)
Mr. R. K. Athula Ranaweera
Ms. S. Wickramasinghe

Related Party Transactions Review Committee

Ms. S. Wickramasinghe (Chairperson)
Dr. (Mrs) A. D. N. de Zoysa
Mr. R. K. Athula Ranaweera

Subsidiaries

AgStar Seeds (Pvt) Limited
AgStar Cropcare (Pvt) Limited
AgStar Grains (Pvt) Limited
AgStar Properties (Pvt) Limited
Mahaweli Agro Trading (Pvt) Limited
AgStar Exports (Pvt) Limited
Prith Seeds (Pvt) Limited
Royal Seeds Pvt) Limited

Secretaries

P R Secretarial Services (Pvt) Ltd
59, Gregory's Road, Colombo 07

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road, Colombo 03

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates

59, Gregory's Road, Colombo 07

Sudath Perera Associates

5, 9th Lane, Nawala Road, Nawala

Designed & produced by

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Printed by Printel (Pvt) Ltd



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